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OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

SWEDEN

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

APRIL 1970

BASIC STATISTICS OF SWEDEN

THE LAND

Area (1 000 sq.km)	450
Lakes (1 000 sq.km)	39
Arable area (1 000 sq.km)	31
Woodland (1 000 sq.km)	228

Inhabitants in major cities, including suburbs (beginning of 1969), thousands :	
Stockholm	1 289
Gothenburg	647
Malmo	428

THE PEOPLE

Population (end of 1969)	8 012 000
No. of inhabitants per sq.km	18
Net natural increase (average 1965-1969)	37 300

Net natural increase per 1 000 inhabitants (average 1965-1969)	4.7
Net immigration (average 1965-1969)	25 500

PRODUCTION

Gross Domestic Product in 1969 (Kr. million)	147 262
GDP per head, US $	3 570

Gross fixed capital formation in 1969 :	
Per cent of GDP	23
Per head, US $	810
Employment:	
Total civilian (thousand)	3 784
Per cent of total :	
Agriculture, forestry, fisheries	8.5
Industry	41.5
Other	50.5

THE GOVERNMENT

Per cent of GDP in 1969 :	
Public consumption	24
General government current revenue	49
Public gross fixed capital formation	7
Per cent of general government revenue in 1969:	
Public debt, end of 1969	70
Fiscal year:	
Central government: 1st July-30th June	
Local authorities: calendar year	

Composition of Parliament (No. of seats):

	1st Chamber	2nd Chamber
Social democrats	79	125
Liberals	25	34
Conservatives	25	32
Centre	21	39
Communists	1	3
	151	233

Last general election: September 1968
Next general election: September 1970

LIVING STANDARDS

Private consumption per head in 1969 (Kronor)	9 743
Calories per head, per day (1967-1968)	2 880
Average hourly earnings of male industrial workers in 1969 (in Kronor)	11.42

Number per 1 000 inhabitants (beginning of 1969):	
Telephones	518
Radio sets	368
TV sets	296
Passenger cars	261

FOREIGN TRADE

Exports of goods and services as per cent of GDP (average 1965-1969)	23
Main exports in 1969 (per cent of total merchandise exports):	
Forestry products	24
Engineering products (excluding ships)	35
Iron and steel	9
Iron ore	5

Imports of goods and services as per cent of GDP (average 1965-1969)	23
Main imports in 1969 (per cent of total merchandise imports):	
Engineering products (excluding ships, etc.)	30
Raw materials (non-edible) and fuels	17
Metals and metal products	12
Food, beverages and tobacco	10

THE CURRENCY

Monetary unit: Krona.

Currency units per US $: 5.17

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OECD ECONOMIC SURVEYS

SWEDEN

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, Finland, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

The annual review of Sweden by the OECD Economic and Development Review Committee took place on 26th February 1970. The present Survey has been updated subsequently.

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INTRODUCTION

After slow growth in 1967 and most of 1968, 1969 saw a strong acceleration of the expansion. Exports advanced fast, business fixed investment recovered, the rate of stockbuilding was high and the expansionary impact on the economy of the public sector remained strong. With the rise of domestic demand outpacing the growth of capacity, pressures on resources increased, entailing a deterioration of the current account of the balance of payments. As this coincided with a swing in the capital balance to a large net outflow, foreign exchange reserves fell by almost one-third. Monetary policy was tightened progressively during 1969, and the authorities imposed stricter controls on direct investments abroad and some other capital transactions.

Capacity constraints in key industries, notably shortage of skilled labour, and tighter monetary conditions, slowed down the expansion towards the end of 1969. But the authorities expect output and domestic demand in 1970 to grow by a little more than 4 per cent, roughly in line with the estimated growth of potential output. On this basis the current external balance may show a smaller deficit and the capital account should improve, but the balance of payments may remain a major problem for economic policy.

I RECENT TRENDS

Trends in Demand

The strengthening of demand which took place in the second half of 1968 continued in the first half of 1969, and in spite of some slowing down after mid-year, real gross domestic product rose by 5 per cent between 1968 and 1969. As in 1968, growth was below the average for European OECD countries, estimated at 5 per cent in 1968 and 6 per cent in 1969.

The increase in GDP was rather higher than forecast by the Swedish authorities, mainly because of a stronger-than-expected rise in merchandise exports. Total exports of goods and services in volume rose by more than 12 per cent, substantially faster than in the previous year, and even faster than in 1964, a year in many ways comparable with 1969. Business fixed investment, which had fallen by 8.3 per cent from 1967 to 1968, rose by 3 per cent in 1969 and inventory formation, estimated at 1.6 per cent of GDP, was much stronger than earlier. With private consumption and public expenditure on goods and services growing at about the same rates as in 1968 (4 and 7 per cent respectively), and with a minor fall in dwelling construction, total national expenditure may have increased by 5.4 per cent in 1969 against 4.2 per cent in 1968.

Table 1 **Supply and Use of Resources**

Percentage change over previous year, 1959 prices

	1966	1967	1968	1969[1]
Gross domestic product	2.8	2.3	4.1	5.0
Imports of goods and services	3.3	3.6	8.4	14.0
Exports of goods and services	5.8	5.6	8.0	12.5
NATIONAL EXPENDITURE	2.2	1.8	4.2	5.4
Change in stocks[2]	1.7	—	0.5	1.6
DOMESTIC FINAL DEMAND	3.1	3.5	3.8	4.3
Private consumption	2.3	2.8	4.3	3.9
Business fixed asset formation[3]	11.5	−2.4	−8.3	3.0
Dwelling construction	−1.7	14.5	2.9	−1.6
Public expenditure on goods and services[3]	4.5	5.5	7.9	6.8

1 Preliminary.
2 Per cent of GDP previous year.
3 Excluding dwelling construction.

Source : Preliminary National Budget for 1970.

Table 2 shows that as far as fixed investment is concerned, there was not only an upturn in business capital spending but also a stronger rise in both central government and local authority investment in building and construction. Within the private sector the rise was very strong in commerce, influenced by the abolition on 1st October 1968 of the 25 per cent tax on low-priority investment, whereas fixed investment in mining and manufacturing increased more moderately: 6.5 per cent for machinery and equipment and 4.0 per cent for building (all in volume terms).

Table 2 **Trends in Gross Fixed Asset Formation**
Percentage change over previous year, 1959 prices

	1966	1967	1968	1969
Machinery and equipment :	11.3	2.1	−2.1	1.9
Private	11.9	−2.2	−5.6	1.8
Central Government	9.5	17.6	18.5	0.5
Local authorities	6.8	32.3	−2.9	6.7
Dwelling construction, total	−1.7	14.5	2.9	−1.6
Other building and construction :	5.9	2.6	−1.7	9.3
Private	11.2	−2.6	−14.2	6.5
Central Government	0.1	−7.5	−0.7	9.4
Local authorities	4.1	13.6	9.2	11.3
TOTAL GROSS FIXED ASSET FORMATION	6.0	4.9	−0.5	4.0

Source : Preliminary National Budget for 1970.
NOTE Public enterprises and corporations are included in public sectors.

As a certain margin of unused productive capacity may have existed at the beginning of 1969, there was some scope for an increase in demand in excess of the rise in capacity (estimated at some 4 per cent). However, the rise of 4.3 per cent in domestic final demand, and the increase in exports of goods and services of 12 ½ per cent led to a spill-over into imports. The rise in the volume of imports of goods and services of some 14 per cent was the highest recorded in the 1960's. To some extent it reflected extraordinarily strong stockbuilding, probably accounting for some percentage points of the import rise. Another factor was the continuing structural change in industry with a contraction or slow rise in some less profitable branches, notably textiles, competing with supplies from abroad. This change may have been particularly fast in 1969, with growing demand for labour and capital for other uses. There is thus a longer-term underlying tendency for the propensity of imports to increase. But part of the acceleration of imports in 1969 could probably be ascribed to stronger pressures on productive resources.

Table 3 represents an attempt to analyse the change in GDP in terms of demand impacts resulting from changes in exports, private investment, and the fiscal policy variables, i.e. public demand for goods and services, transfers and taxes. The method, which takes into account the components' secondary ("multiplier") effects on private income and consumption, is similar to the one utilised in last year's survey of Sweden, apart from the explicit assessment of the effect of changes in tax rates

Table 3 **Analysis of the Growth of GDP**

	1966	1967	1968	1969
Demand impact[1] :				
Exports of goods and services	2.5	2.5	3.6	4.6
Private fixed asset formation (excl. dwellings)	1.4	−0.3	−1.1	0.3
Public sector impact[2]	0.0	2.1	2.4	1.4
Autonomous imports, trend	−0.3	−0.3	−0.3	−0.2
Income to abroad, net	—	−0.1	−0.1	−0.1
TOTAL EFFECTIVE DEMAND	3.6	4.0	4.5	6.0
Less : Net effect of changes in stocks and deviation of the import ratio from trend[3]	−0.8	−1.7	−0.3	−1.2
TOTAL DEMAND IMPACT ON GDP	2.8	2.3	4.1	4.8
ACTUAL CHANGE IN GDP (EXPENDITURE SIDE)	2.8	2.3	4.1	5.0

1 Estimated impact on GDP of changes over previous year in the different demand components, including secondary effects on consumption and imports, in per cent of GDP previous year, 1959 prices.
2 Total estimated demand impact from public sector and dwelling construction less the restrictive impact from taxes as specified in Table 12.
3 See comments in the text.

Source : The OECD Secretariat.

NOTE The estimates given above are calculated on the basis of a simple macroeconomic mode describing only a few features of the economy, using the expenditure information available in national accounts statistics. As seen from Table 4, a statistical discrepancy still exists between the GDP estimated from the production side and GDP estimated from the expenditure side. No attempt has been made to adjust the expenditure figures for this discrepancy, which, notably, may be the real explanation of the high "excess imports" in 1967.

(see below in the section on fiscal policy) and a more detailed analysis of the development of imports in relation to demand. It has been assumed that the ratios of various import categories to domestic demand components develop according to the trends experienced in the 1959-1969 decade, whereas the analysis has been based on the actual ratio of real private consumption to real disposable private income. Changes in the ratio of taxes to income has been interpreted as the result of fiscal policy decisions, the effect of which on GDP has been estimated on the basis of the actual level and composition of GDP.

The analysis in Table 3 shows a considerable increase in total final demand in 1969 compared with 1968. The demand impact of exports of goods and services, the most important single item, is estimated to have amounted to 4.6 per cent of GDP. There was also an increase in private fixed investment demand, which had exerted a negative impact in 1968. The impact of the public sector remained strong, although smaller than in 1968.

The overall impact of the above final demand components, less the net effect of the change in tax rates and transfers is estimated at some 6 per cent of GDP. Moreover changes in stocks should be taken into account; due to the large import content its impact on GDP is substantially lower than the initial change although the import content may vary quite strongly with the commodity composition of stock changes. But the statistics on commodity break-down of stocks are still incomplete and an assessment of the demand impact of stock changes is therefore difficult. The analysis has therefore not included stock changes as an independent demand component; the net value of stock-building and the deviation of imports from the value corresponding to the trend of the ratio of imports to domestic final demand components has been assumed to bring about the final balance of demand and supply. As seen from Table 3 this net item has been estimated to exert a negative demand impact on GDP of some 1.2 per cent in 1969.

Production and Employment

In spite of the fact that a comparatively large part of the rise in demand in 1969 was covered by imports, total production is estimated to have increased by at least 5 per cent. Agricultural production fell by 13.5 per cent mainly due to a crop failure caused by the dry summer, which also led to reduced growth of hydro-electric production. Production in forestry was stimulated by a strong rise in demand for wood, and by the large number of trees blown down by storms in the autumn.

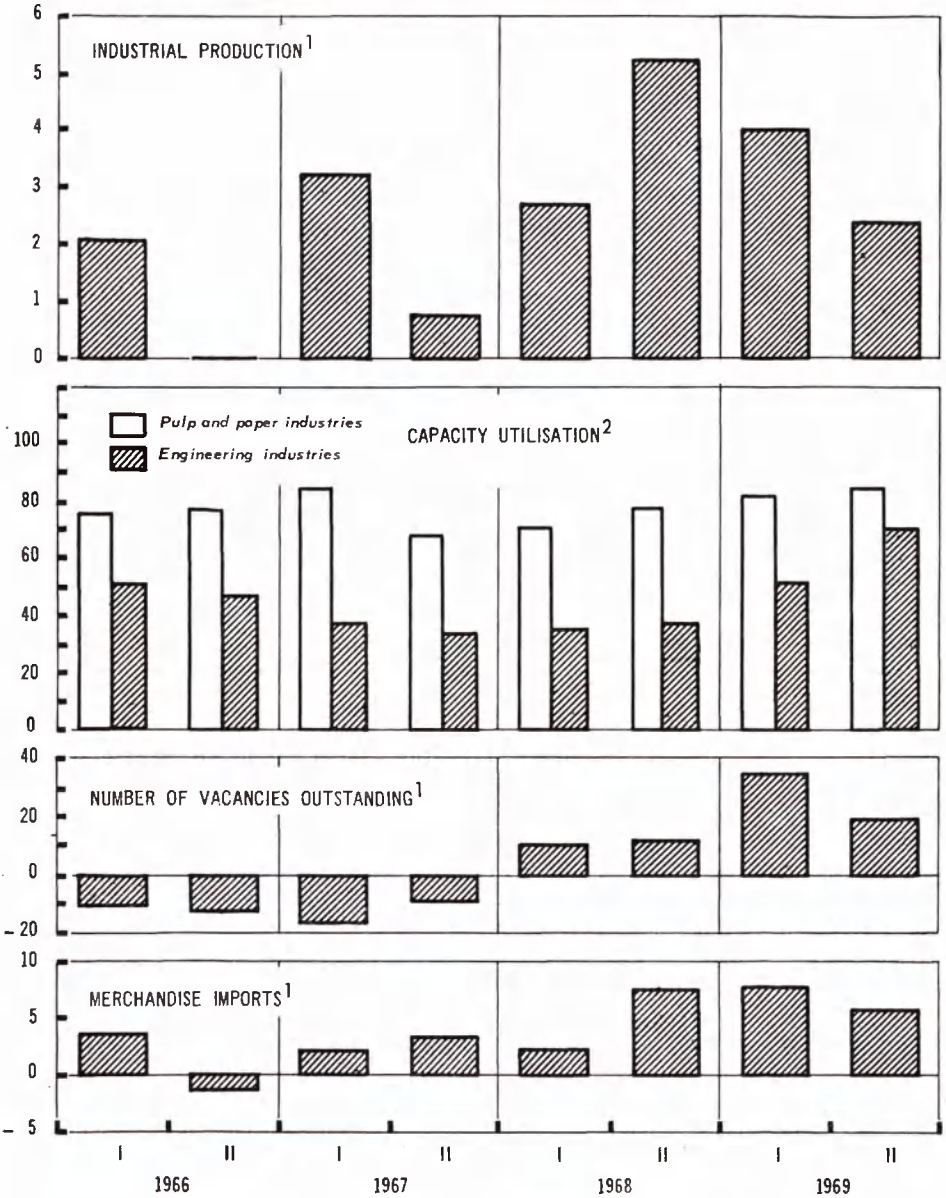
Table 4 **Production by Sectors**

Percentage change over previous year, 1959 prices

	1966	1967	1968	1969
Production of goods :	3.7	4.9	3.2	5.4
Agriculture	−5.8	12.6	4.2	−13.5
Forestry	−0.6	7.9	−3.6	8.5
Mining and manufacturing	4.5	2.8	4.9	7.0
Building and construction	4.1	9.3	−3.0	5.0
Electricity, gas and water supply	6.2	7.7	7.9	3.0
Production of services :	3.3	2.5	5.4	4.5
Total GDP, est. from the production side	3.5	3.7	4.3	5.0
Total GDP, est. from the expenditure side	2.8	2.3	4.1	5.0

Sources : Swedish National Accounts Statistics and Preliminary National Budget for 1970.

Diagram 1 **Short-Term Economic Indicators**



1 Seasonally adjusted figures, percentage change over previous half year.

2 According to quarterly business tendency surveys; firms indicating full capacity utilisation in per cent of total.

Sources: OECD Main Economic Indicators and Swedish Business Tendency Surveys.

Production in mining and manufacturing rose by 7 per cent, much faster than earlier. The expansion was particularly strong in the pulp and paper industries (12 per cent in volume) which also benefited from substantial price increases in main export markets. The engineering industry (excluding shipyards) also saw a steep rise in output, some 10 per cent in volume. But estimates by the National Insititute of Economic Research suggest that its share in the total supply (i.e. for both domestic and export purposes) of engineering products fell slightly, presumably due to capacity constraints. The iron and metal works, although increasing production rapidly, also experienced some decline in market shares.

There was a strong expansion through the first half of 1969, continuing the upturn towards the end of 1968. The second half saw a slowdown; in October-November industrial production, seasonally adjusted, was only 1.7 per cent above the average for the first half year. The rise in imports also slowed down after the steep rise during the first half of the year. The number of unfilled vacancies, however, continued to increase strongly, supporting the view that labour shortage was a main constraint on the growth of production. The December business tendency survey reported a rise in the rate of capacity utilisation between September and December in almost all industries, in particular in the labour intensive engineering industries.

The strong upturn in demand for labour in some sectors and regions encouraged immigration, which rose from about 13 000 persons (net) in 1968 to 45 000 in 1969, the highest figure ever registered. The net addition to the labour force from immigration is not known, but may be estimated at some 20-30 000 persons, and was thus greater than the natural increment to the labour force. On these assumptions the number of persons employed may have increased by 1 per cent. On the other hand, a reduction of contractual working hours per week probably caused a fall in hours per person actually worked of about 1 per cent, leaving total employment in hours virtually unchanged between 1968 and 1969, against a fall of 2 per cent from 1967 to 1968.

Registered unemployment fell in 1969 but remained rather higher than in the 1964/65 boom. To a large extent, however, this was due to an increase in unemployment benefits for aged persons, who may be less prepared to change jobs or attend retraining courses. These persons would earlier not have been registered as unemployed with the employment offices either due to the expiration of normal benefits after prolonged unemployment or because they had not been insured; their number has been estimated by the authorities at some 6 000 persons. Adjusting for this, registered unemployment (seasonally adjusted) at the end of 1969 was almost down to the 1965/66 level of some 20 000 persons, corresponding to about 1 per cent of the number of insured.

A more detailed study shows that an unemployment of this size hardly entirely represents an effective employment reserve. Somewhat more than 40 per cent, or some 13 500 of the 31 500 registered as unemployed in mid-November, were 60 years and above. The number of persons who had been unemployed for more than a month amounted to 18 700 of which nearly 60 per cent (10 700) were 60 years and above. The recent improvement of unemployment benefits for aged people should therefore be considered as a step to protect labour hit by structural changes of the economy and not yet covered by existing national pension schemes. The remaining part of unemployment mainly consists of the normal transfer of man-power between enterprises and industries, and the regional unemployment in the northern part of the country.

With employment in terms of hours worked unchanged or slightly higher than in 1968, production per hour rose by some 5 per cent for the economy as a whole. In mining and manufacturing hours worked decreased somewhat. This means that the rise in productivity, although significant, was smaller than in 1968. The deceleration may have been related to the fact that the upturn in the second half of 1968 took place primarily in the capital-intensive industries such as pulp and paper industries, which were able to expand production without additional man-power. In 1969 the expansion took place in particular in the labour-intensive engineering industries and shipyards where a rise in production requires more blue-collar workers and in many cases also other categories of man-power. Employment in the public sector—in line with the trend of previous years—rose strongly between 1968 and 1969, although the rise was smaller than in 1967 and 1968 presumably due to the intensified demand for man-power in the private sector.

Wages, Prices and Incomes

After a slow increase in 1968, prices and wages rose more rapidly during 1969. Wages were influenced both by stronger wage drift and the new settlements made in the spring of 1969. The first settlement in the 1969 round of negotiations covered directly about 140 000 salary-earners in industry, and indirectly presumably major part of salary earners in the private sector. The agreement provided for a rise of 4 per cent, of which 2 per cent were to be decided upon locally, notably with the aim of reducing the income disparities between men and women. Public employees on the other hand, obtained a relatively low rise: in 1969, civil servants only 2 per cent, other public employees some 5-6 per cent. In December 1969 the employers' association and the salary earners' organisations (including also those of engineers and foremen)—representing about 250 000 industrial white-collar workers—

agreed on a 5 year frame-settlement, providing for an overall annual increase in salaries—including wage drift and fringe benefits—of 7 per cent.

The negotiations by blue-collar workers in the private sector which had started already towards the end of 1968, continued well beyond the date of the expiration of the previous three-year contract. The agreement reached in June provided for an overall increase in the wages of 17 per cent in the two-year period covered, including an estimated wage drift of 3.5 per cent per year. Several provisions in the agreement aim at a faster increase in the incomes of the low-paid wage earners, whereas higher wage rates (Kr. 9.60 or more per hour) were to be raised by only about 1.5 per cent from 1st July 1969 and some 2 per cent in 1970. Total hourly wage costs for workers in manufacturing are estimated to have risen by 9.7 per cent between 1968 and 1969 and the wage bill—given some reduction in number of hours worked and assuming similar rises for salary earners—increased by about 8 per cent. The wage drift between 1968 and 1969 has been estimated at 4.5 per cent compared to 3.3 per cent in the previous year. However, part of the recent increase may have been due to a shift of man-power to high-wage sectors and, thus, accompanied by a rise in productivity.

Table 5 **Hourly Earnings and Wage Bill**
Percentage change over previous year

	1966	1967	1968	1969
MINING AND MANUFACTURING[1] :				
Total hourly wage cost	9.1	9.6	7.4	9.7
of which due to :				
Negotiated increase in wage rates	4.5	4.1	3.4	4.7
Fringe benefits	0.4	1.5	0.4	0.5
Wage drift	4.2	4.0	3.6[2]	4.5
ALL SECTORS :				
Total wage bill	10,1	7 1/3	6 1/4	7 1/2
of which due to :				
Negotiated increase	7 1/2	6 1/3	4 3/4	4 1/2
Wage drift	2 1/4	2	1 1/2	2 1/2
Change in employment	1/2	−1	—	1/2

1 Refers to blue-collar workers.
2 Including an estimated effect of about 0.3 per cent for a larger number of paid holidays.
Sources : Preliminary National Budget for 1970 and National Institute of Economic Research.

Production per hour in manufacturing is estimated to have increased strongly in 1969, perhaps by some 9.5 per cent. Given the calculated rise in the total wage cost for workers in manufacturing, unit labour

costs seem to have remained rather stable and increased thus considerably less than the corresponding figure for the industrialised OECD countries in Europe when these are weighted together according to their estimated importance for Swedish foreign trade. During the 5 year period 1965-1969 Swedish unit labour costs rose on average by 1.6 per cent a year suggesting that the relative cost position of Swedish industry has been well maintained.

Table 6 **Costs and Productivity in Manufacturing**

Percentage change over previous year

	Sweden						Industrialised OECD Europe
	Hours worked	Production		Wage costs		Unit labour costs	Unit labour costs
		Total	Per hour	Wage bill	Per hour		
1962	0.0	7.9	7.9	12.1	12.1	3.9	5.0
1963	−0.4	5.6	6.0	10.0	10.4	4.2	2.7
1964	−0.3	12.2	12.5	9.8	10.1	−2.1	2.0
1965	−0.1	7.7	7.8	10.2	10.3	2.3	4.5
1966	−1.4	4.8	6.3	8.8	10.3	3.8	3.8
1967	−4.8	2.7	7.9	5.4	10.7	2.6	1.3
1968	−3.5	4.8	8.6	4.9	8.7	0.1	−3.8
1969[1]	−1.5	7.5	9.5	8.0	9.5	0.5	3.2
1965-1969 Av.	−2.8	5.0	8.0	6.7	9.8	1.6	1.8

1 Preliminary.

Sources: Preliminary National Budget for 1970, Swedish National Accounts Statistics and the OECD Secretariat.

NOTE Unit labour cost is defined as the total cost of wages, salaries and associated employer outlays per unit of output in the manufacturing sector. For the purpose of international comparison national data have been converted to dollars at current exchange rate. A devaluation consequently is registered as a reduction in unit labour cost in the present table. Due to considerable problems regarding the comparability and precision of the indicators, the estimates should be considered as a crude measure of trends. The figures for Sweden relate to toal hours worked, calculated value-added and wage bill in the sector "manufacturing" according to Swedish National Accounts Statistics.

The virtually unchanged labour costs, the rise in average export prices and some cost reduction (in spite of the counteracting employment tax simultaneously introduced) resulting from the switch from turnover tax to value-added tax should have resulted in a marked improvement of the profitability of the export industries. The rise in household factor incomes has been estimated by the authorities at 6.5 per cent and household disposable income at 5.6 per cent. These estimates have been made, in particular, on the assumption of an overall increase in the wage bill of 7.3 per cent, consisting of 4.5 per cent increase in negotiated rates, 2.5 per cent wage drift and ½ per cent rise in employment. With

wage drift in manufacturing amounting to 4.5 per cent, this estimate implies low wage drift in other sectors.

Table 7 **Household Income and Expenditure**
Percentage change over previous year

	1966	1967	1968	1969
Disposable incomes	7.7	6.2	4.9	5.6
Consumer prices[1]	5.5	4.2	1.6	2.7
Real disposable incomes	2.1	1.9	3.3	2.8
Private real consumption	2.3	2.8	4.3	3.9

1 Implicit price deflator.
Sources : Preliminary National Budget for 1970 and National Institute of Economic Research.

The rise in consumer prices accelerated in 1969. Between November 1968 and November 1969 the net price index (consumer prices, excluding indirect taxes) rose by 4.1 per cent, some per cent faster than the previous 12 month period. The acceleration was mainly due to the rise in import prices, adjustment of rents to higher interest rates and an increase in agricultural prices. Stronger demand pressures seem to have had little influence on prices in 1969, perhaps with the exception of prices for services. Since the rise in consumer prices, estimated at 3.5 per cent during the course of 1969, seem to have occurred mainly in the latter part of 1969, the increase between 1968 and 1969 averages is estimated at 2.7 per cent[1], implying an increase in households' real disposable income of 2.8 per cent—smaller than in 1968. Private real consumption, however, is estimated to have advanced by 3.9 per cent, reflecting a fall in the savings ratio in line with the trend of previous years.

Balance of Payments

The overall balance of payments (current and capital transactions) deteriorated sharply from a deficit of $17 million in 1968 to one of $326 million in 1969. The deterioration was mainly due to an increase in the deficit on current account and a large outflow of direct

1 Consumer price index for December 1969, i.e. an information made available only recently, implies a much stronger rise in prices; some 4.5 par cent during the course of 1969 against the forecast 3.5 per cent, the average increase between 1968 and 1969 probably being closer to 3 per cent instead of the forecast 2.7 per cent. The increase in real disposable incomes thus would have been some percentage points less than that given in Table 7.

investment, whereas changes in leads and lags of payments are thought, by the Swedish authorities, to have had little net effect on payments in 1969. The loss of exchange reserves concerned primarily the holdings of commercial banks, which were reduced by $218 million in the course of the year. The banks' net position in foreign time deposits, on the other hand, rose by $33 million. Official exchange reserves (incl. IMF position) fell by $141 million. The loss of exchange reserves was particularly strong in the first half of the year and remained large also in the third quarter. In November and December, however, with a reversal of short-term flows, there was a small increase. Total reserves at the end of 1969 amounted to $749 million, of which $659 million were official exchange holdings (incl. IMF position), corresponding to less than 1½ months' merchandise imports. To this should be added the Swedish share—$38 million—in the IMF Special Drawing Rights (SDR), activated on 1st January 1970.

Table 8 **Balance of Payments**

$ million

	1966	1967	1968	1969
Trade balance	−316	−173	−215[4]	−211
Services, net[1]	116	107	99	17
Transfers, net	−46	−79	−117	−159
Errors and omissions[2]	97	116	135	155
CURRENT ACCOUNT	−149	−29	−98	−198
Capital movements	205	120	105	−121
Errors and omissions	38	−129	−24	−6
BALANCE ON NON-MONETARY TRANSACTIONS[3]	94	−38	−17	−326
Foreign exchange reserves, end of year :	1 154	1 113	1 108	749
Official, incl. IMF position	1 012	818	800	659[5]
Commercial banks	142	295	308	90
Commercial banks' time position	54	57	45	78

1 Including merchandise trade not registered in foreign trade statistics.
2 Official estimate of unrecorded current earnings.
3 Swedish definitions.
4 Adjusted for a speeding up of customs statistics.
5 Excluding the IMF Special Drawing Rights.

Sources : Preliminary National Budget for 1970 and Central Bank Annual Report.

With a rise of 15.8 per cent in value, merchandise exports developed in line with total OECD exports in 1969. However, Swedish export markets are estimated to have increased by only some 14.3 per cent, implying a slight gain in Swedish market shares perhaps related to favourable trends in export prices. The export volume (excl. ships) rose by 12 per cent, faster than in 1968, with a slowdown in the growth of

some categories: wood products, ore and non-ferrous metals. The rise in exports of engineering products, on the other hand, accelerated (13.5 per cent in volume).

Table 9 **Trends in Merchandise Exports**

	Percentage distribution 1969, current prices	Percentage change over previous year			
		1966	1967	1968[2]	1969
Export volume :					
Wood products	6.3	−4.6	12.3	12.5	7.5
Pulp	8.4	9.3	−1.3	2.0	3.0
Paper	9.3	5.6	2.2	13.0	14.5
Ore	4.6	−5.3	2.1	22.3	8.0
Iron and steel	8.9	11.5	14.9	7.9	12.0
Other metals	2.8	21.9	3.9	16.9	14.5
Engineering products[1]	35.4	16.1	0.8	6.5	13.5
Foodstuffs	2.9	−0.6	5.3	3.5	16.5
Other goods	16.4	9.4	10.2	13.5	13.5
TOTAL, excluding ships	95.0	9.3	4.4	9.3	12.0
Ships	5.0	−33.2	23.2	−10.0	12.0
TOTAL, including ships	100.0	6.3	5.3	8.2	12.1
Export prices	—	1.1	0.8	0.3	3.3
Export value	—	7.4	6.1	8.5[2]	15.8
Memo items : terms of trade	—	−1.1	0.7	0.0	1.5
growth of export markets[3]	—	6.1	7.0	8.3	14.3

1 Excluding ships.
2 Adjusted for a speeding up of customs statistics.
3 Estimates by the OECD Secretariat of the growth which would have occurred in Swedish exports if their share in total OECD exports to each market had remained unchanged from previous year.

Sources : Preliminary National Budget for 1970 and the OECD Secretariat.

Merchandise imports rose by 15.1 per cent in value reflecting the resumption of inventory accumulation, and the growing pressure on resources, with bottlenecks emerging in certain sectors. There was a substantial rise of the import content of main domestic demand components. In constant prices, imports of consummer goods rose by 15 per cent, of investment goods by 19 per cent, and of raw materials for the production of consumer goods by some 7 per cent and for other production by 15 per cent. The overall rate of increase, moreover, was moderated by a deceleration of imports of crude petrol, fuels, raw materials for agriculture and ships and aircraft.

Table 10 **Trends in Merchandise Imports**

	Percentage distribution 1969, current prices	Percentage change over previous year			
		1966	1967	1968	1969
Import volume .					
Consumer goods	24.9	−3.0	6.5	10.5	15.0
Investment goods	11.8	5.3	6.4	−2.6	19.0
Input for production of consumer goods	9.3	1.1	8.1	3.2	7.0
Other industrial raw materials	39.1	2.2	0.5	15.6	15.0
Of which : crude petrol	2.9	−3.3	64.6	47.1	17.0
Input for building etc.	3.4	−4.3	6.0	8.5	18.5
Input for agriculture	2.1	11.1	−10.1	9.4	2.0
Fuels	7.2	14.8	−12.1	6.0	4.5
TOTAL, excluding ships, aircraft and weapons	97.9	2.3	2.2	9.4	13.5
TOTAL, including ships aircraft and weapons	100.0	2.3	2.5	8.7	13.1
Import prices	—	2.3	0.1	0.3	1.8
Import value	—	4.7	2.6	9.0	15.1

Source : Preliminary National Budget for 1970.

Net earnings on services were reduced from $99 million in 1968 to $20 million in 1969. There was a fall in net earnings from shipping due to a slow advance in gross earnings combined with a rise of close to 10 per cent in expenditure abroad. The net deficit on tourism rose from $199 million in 1968 to $233 million in 1969, and other services also saw a rising deficit. Transfers to abroad rose from $117 million to $159 million partly due to a normal rise in Swedish aid to developing countries, and partly due to a writing off of an outstanding loan to Finland. The deficit on current account, including an official estimate of unrecorded current earnings, therefore increased from $98 million in 1968 to $198 million in 1969.

The increase in the current deficit coincided with a strong deterioration of the capital account. The reasons for this deterioration are not clear, and it is—in particular—difficult to judge to what extent temporary factors have been at work. Table 11 shows that only private long-term borrowing shifted in a positive direction between 1968 and 1969, but the 1968 net outflow was abnormal and the 1969 figure may therefore be considered as a return to the level of previous years. Direct investment abroad by Swedish firms expanded strongly, causing a shift in the balance on direct investment from net imports of $60 million in 1968 to net exports of $81 million in 1969. Moreover a larger part of direct investment (not included in Table 11), after the introduction

of exchange restrictions in September 1969, will be financed in foreign markets. Thus, in 1969 Swedish firms raised about $85 million abroad to finance direct investment. The rise in deficit on central government transactions was partly due to the writing off of an outstanding loan ($20 million) to Finland and a contribution to IDA of $27 million.

Table 11 **Capital Movements**
$ million

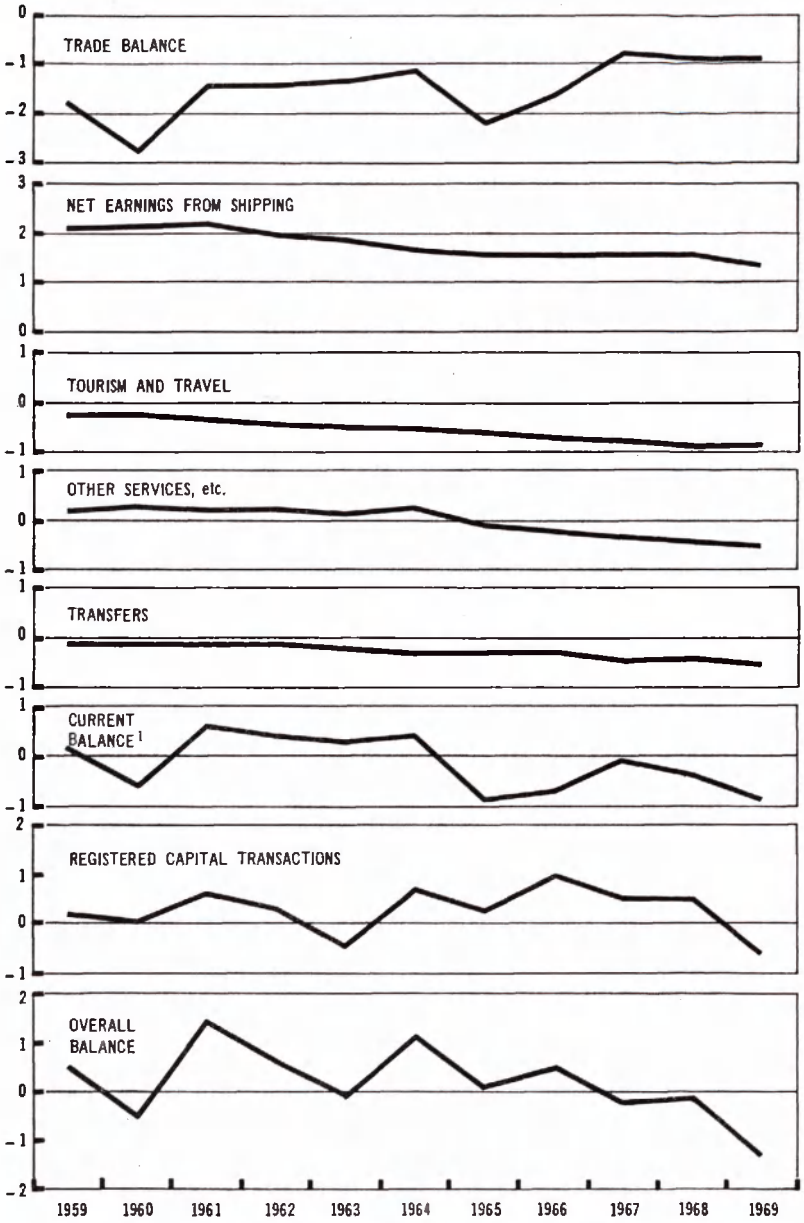
	1966	1967	1968	1969
Central government transactions	24	−5	−12	−46
Securities	16	15	2	−25
Private long-term borrowing, net	70	38	−22	44
Direct investment :	21	−8	60	−81
Swedish, abroad	−118	−110	−44	−239
New investment	−148	−141	−134	−276
Disinvestment	30	31	89	37
Foreign in Sweden	139	102	104	158
New investment	150	142	131	179
Disinvestment	−11	−40	−27	−21
Other capital transactions	74	79	77	−13
TOTAL REGISTERED TRANSACTIONS	205	119	105	−121

Sources : Preliminary National Budget for 1970 and Central Bank Yearbook 1968.

During 1969 the Swedish balance of payments became more important a problem for economic policy than hitherto. It may therefore be useful to review rather more thoroughly long-term trends in main items and to some extent also look ahead in order to assess the prospect for a more substantial improvement in line with the policy objectives of the Swedish authorities.

Trends in external payments over the last decade are summarised in Diagram 2, which gives the main items of current account and net capital movements in per cent of GDP at current factor prices. As seen from the diagram, an increase in the deficit on services, notably tourism and miscellaneous services, has been a dominating feature over the period. Net earnings from shipping have also fallen in proportion to GDP. Moreover, in recent years net transfers to abroad—mainly assistance to developing countries—have increased strongly, reaching 0.5 per cent of GDP in 1969. The trade deficit was reduced but the improvement was not sufficient to offset the deterioration on services, and the current balance (including an official estimate of unrecorded current earnings assumed to increase by Kr. 100 million per year from 1961) showed a tendency to deteriorate.

Diagram 2 **Long-Term Trends in Balance of Payments**
Per cent of GDP at current factor prices



1 Including an official estimate of unrecorded current earnings.
Sources: The OECD secretariat.

However, the diagram may underestimate the improvement of the trade balance which has been somewhat disturbed by cyclical factors, notably marked changes in stock-building, which may explain much of the large trade deficits in 1960 and 1965, and which probably limited the improvement between 1968 and 1969. A smoothing out of the figures seems to suggest that the trade balance improved by about 1 per cent of GDP during the 1960's. But this fell very much short of the rise in net expenditure on services and transfers, estimated at approximately 2 per cent of GDP, leaving an underlying deterioration of the current balance of some 1 per cent of GDP.

II ECONOMIC POLICY

After two years of expansionary demand management policy, the emphasis in 1969 was on restraint, as the pressure on resources was increasing and the balance of payments, both current and capital, deteriorated strongly. Restrictive measures were in particular taken in the field of money and credit. Certain public expenditures were postponed, and activity in the building and construction sector was more strictly regulated by existing quantitative controls.

Fiscal Policy

The almost complete integration of the taxation system and the co-ordination of fiscal policies at central and local levels make an isolated assessment of the impact on economic activity of the central government budget less meaningful and very difficult to carry out. It seems more relevant to analyse the consolidated public sector, comprising Central Government, local authorities and Social Security. In practice the Central Government is responsible for all tax collection and certain amounts are then transferred to local authorities—according to the assessment of taxable income for an earlier year[1]. Moreover, an increasing part of total public savings is taking place in the social security sector, which is now a major source of long-term finance. The public sector might even be given a broader definition than the one above, to comprise also public lending programmes and investment in public enterprises, which to some extent are financed through transfers from Central Government or local outhorities. The switch-over of the Swedish national accounts to the new System

1 Further information on the institutional framework of tax collection can be found in Bent Hansen: *Fiscal Policy in Seven Countries 1955-1965*, OECD. March 1969.

of National Accounts (SNA) permits an analysis along these lines, in particular since the social security sector now has its own consolidated accounting.

Table 13 below shows revenue and expenditure for the consolidated public sector (excluding central government enterprises). Revenue in 1969 amounted to Kr. 72 410 million or 49 per cent of GDP, of which taxes accounted for Kr. 47 900 million and social security contributions for Kr. 12 050 million. Current and fixed investment expenditure amounted to Kr. 67 681 million, and financial savings (surplus on current and investment account) thus to Kr. 4 729 million or 3.2 per cent of GDP. The public sector purchased goods and services for Kr. 44 621 million or 30 per cent of GDP. This represented an increase from 1968 of about 12 per cent in current prices; in real terms the rise has been estimated at 6 ½ per cent, implying that the public sector in 1969 increased its share of the available resources.

The change in revenue from 1968 to 1969—as in any earlier period—resulted partly from changes in tax rates. The average rates of taxation may change because of changes in tax rules, or because of shifts in the incidence of indirect taxes (if commodities with a high income-elasticity are taxed more heavily than others) or because of progressive tax schedules, involving higher rates of direct taxation with rising income. With the strong rise in nominal incomes in the post-war period, the progressivity of tax schedules has been an important factor in the overall economic impact of taxation. The sole analysis of discretionary changes in tax-rules—although a good guidance in the initial stage—is therefore insufficient to provide a general assessment of demand management policy.

Changes in public revenue and expenditure are due partly to automatic effects resulting from changes in economic activity and partly to discretionary changes in taxation and expenditures. It is useful to make a distinction between the different categories of revenue and expenditure, since, as is normally assumed in this kind of analysis, the demand impact of expenditure on goods and services may be different (higher) than e.g. transfers and/or taxes[1]. In the case of Sweden, moreover, dwelling construction is strongly influenced by demand management and there may therefore be good grounds for also taking private dwelling construction into account in an assessment of fiscal policy.

Table 12 below summarises the results of an assessment of the impact on GDP of changes in the budget for the public sector and dwelling construction taking into account the factors mentioned above. The esti-

1 These problems have been dealt with recently by Bent Hansen, op. cit.

Table 12 **Fiscal Policy Assessment**

Estimated demand impact on GDP from the public sector[1] and dwelling construction. Per cent of GDP, 1959 prices

	1966	1967	1968	1969	1970
Demand impact, including estimated multiplier effects[2]					
Public demand for goods and services :	1.7	3.1	3.4	2.1	1.4
Public consumption	1.4	1.2	2.3	1.4	1.0
Public investment (excl. dwellings)	0.4	0.9	0.8	0.9	0.5
Machinery and equipment	0.1	0.3	0.2	0.0	0.1
Other building and construction	0.3	0.6	0.6	0.9	0.4
Total dwelling construction[3]	−0.1	1.0	0.3	−0.2	0.0
Income adjustements :	0.4	1.5	1.3	0.7	0.3
Transfers to households	1.0	1.4	1.6	1.1	1.0
Subsidies	0.2	0.0	−0.1	0.0	0.0
Income non-elastic direct taxes	−0.8	0.1	−0.2	−0.4	−0.7
Estimated effect of changes in rates of income elastic taxes	−2.1	−2.5	−2.3	−1.4	−0.8
TOTAL ESTIMATED DEMAND IMPACT	0.0	2.1	2.4	1.4	0.9
Memo. item :					
CHANGE IN GDP	2.8	2.3	4.1	5.0	4.3

1 Consolidated public sector, including investment by public enterprises.
2 Multipliers estimated on the basis of trend value of imports in relation to domestic demand components.
3 Total public and private dwelling construction.

Source : The OECD Secretariat.

NOTE Due to the public control through building permits and public lending to building, dwelling construction has been considered an integrated part of the publicly determined demand for goods and services. Central government enterprises and corporations according to the new System of National Accounts are not a part of the public sector but their investments have nevertheless been included in this table for lack of separate time series.
With respect to the method of analysis see comments to Table 3 above.

mates include also secondary—multiplier—effects on private consumption and imports of the revenue and expenditure changes. No precision is claimed for these estimates, but they may illustrate the order of magnitude of the economic impact of the public budgets, and in particular the direction of the changes from year to year.

The analysis shows that the impact of the change in the public sector's demand for goods and services fell from the high level of 3.4 per cent of GDP in 1968 to 2.1 per cent in 1969, reflecting smaller increases in consumption. An acceleration of investment in non-dwellings, mostly on the local authority level, was probably influenced by the abolition in October 1968 of the temporary 25 per cent investment tax, which had been applied also to certain low-priority types of investment by local authorities. With a slower rise in tax rates, the net contractionary effect

Table 13 **Trends in Public[1] Revenue and Expenditure**

	Kr.million 1969	Percentage change over previous year		
		1968	1969	1970
Current prices :				
CURRENT REVENUE :	72 410	10.3	11.8	11.1
Taxes	47 900	8.6	10.0	10.5
Social security contributions	12 050	22.5	10.9	8.0
Other	12 460	6.6	20.6	16.9
EXPENDITURE :	67 681	12.6	11.0	10.5
Expenditure on goods and services :	44 621	12.8	11.9	8.5
Consumption	34 730	13.4	11.5	8.5
Central Government	13 104	10.1	6.6	4.6
Local authorities	21 626	15.6	14.8	10.9
Gross fixed asset formation	9 891	11.1	13.1	8.7
Central Government	2 111	14.0	7.4	8.5
Local authorities	7 780	10.2	14.7	8.7
Transfers	23 060	12.0	9.3	14.3
To households	18 250	12.0	12.6	12.5
To enterprises	1 550	−6.4	−10.5	0.6
Other	3 260	25.6	3.0	30.4
FINANCIAL SAVINGS	4 729	(6.0)[2]	(6.5)[2]	(7.2)[2]
1959 prices :				
Expenditure on goods and services :	24 855	8.5	6.5	4.0
Consumption	18 180	8.3	5.8	3.9
Central Government	6 934	5.4	1.7	0.5
Local authorities	11 246	10.2	8.4	6.2
Gross fixed asset formation	6 675	9.5	8.1	5.0
Central Government	1 401	10.0	3.5	5.0
Local authorities	5 274	7.8	9.4	5.0

1 Consolidated public sector including Central Government, local authorities and social security. Excluding central government enterprises and corporations, local authority corporations but including local authority enterprises.
2 Per cent of current revenue.

Sources : Swedish National Accounts Statistics and Preliminary National Budget for 1970.

of changes in transfer payments and taxes fell from 1.0 per cent in 1968 to 0.7 per cent in 1969; it should be noted that only the change in taxes in proportion to incomes has been taken into account, whereas the effect on tax revenue of the overall growth of the income level has been disregarded.

The estimates for public sector revenue and expenditure in 1970 have been made on the basis of the central government budgets for the current and the coming fiscal years and surveys of local authorities' investment intentions etc. As seen from Table 13, 1970 is likely to see

a slowdown of the rise in public expenditure on goods and services, to 8.5 per cent in value and 4 per cent in volume with, notably, very slow rise in central government expenditure. Transfers to households are likely to show the same increase as in 1969. However, the effects of future price and wage increases may not have been taken fully into account, notably in the case of central government expenditure. The size of the under-estimation should not be significantly higher than say 1 ½ per cent and the rate of increase of public expenditure on goods and services in current prices in 1970 may thus remain about 2 per cent below the 1969 rate.

Revenue estimates for 1970 are based on the assumption of an increase in factor incomes of about 8 per cent from 1969 to 1970, which would yield a rise in public revenue of 11 per cent. No changes in central government direct taxation have been proposed for 1970. However, the effect of tax progression according to estimates by the National Institute of Economic Research, will bring the preliminary tax on wage and salary income up to 36.2 per cent in 1970, against 34.6 per cent in 1969 and 33.1 per cent in 1968. Indirect taxes, mainly accruing to the Central Government, are expected to rise rather more slowly, by Kr. 1 150 million or close to 7 per cent. Of this Kr. 300 million is the estimated yield of higher duties on tobacco and beer, and an increase —from 10 to 14 per cent—of the value-added tax on certain consumer durables, e.g. passenger cars, television sets, caravans etc. Social security contributions from employers and employees are expected to increase in line with income. On these assumptions, 1970 should see a rise in financial savings from 6.5 per cent of revenue in 1969 to 7.2 per cent in 1970.

As shown in Table 12, the impact on GDP of the public sector is estimated to fall from 1.4 per cent in 1969 to 0.9 per cent in 1970 mainly due to the slowdown in the growth of demand for goods and services. The restrictive impact due to changes in taxation is about the same size as last year.

The authorities expect financial savings of the Central Government (surplus on current and fixed investment account) to amount to Kr. 1 370 million against Kr. 300 million in 1969. Moreover, central government lending is expected to fall by some Kr. 400 million from the exceptionally high level of 1969 and the overall financial requirements of the Central Government should therefore be reduced from Kr. 3 800 million in 1969 to considerably below Kr. 3 000 million in 1970 the final outcome depending on the trends in wages and prices. Central government finance is expected to be rather strong in the first half of 1970 due to large payments of tax arrears and the rise of indirect taxes from 9th February, whereas the second half-year as usual is likely to

show a considerable deficit—even on financial savings. This has an important bearing on monetary conditions.

Table 14 **Central Government Finance**
Kr. million

	1968 Outcome	1969 Estimate	1970 Forecast
CURRENT REVENUE	31 481	34 920	38 850
CURRENT AND INVESTMENT EXPENDITURE :	32 370	34 620	37 480
Consumption	11 903	12 660	13 230
Transfers	18 633	19 840	21 950
Gross fixed investment	1 834	2 120	2 300
FINANCIAL SAVINGS	−889	300	1 370
Lendings	−2 097	−4 096	−3 650
Other transactions	−384	..	..
OVERALL BALANCE[1]	−3 370	−3 796	−2 280

1 Financial requirements, mainly covered by central government borrowing.
Source : Preliminary National Budget for 1970.

The increase of the value-added tax in 1970 will be generalised as from 1st January 1971; the advanced increase in 1970 was made in order to produce some immediate rise in tax revenue and to reduce anticipatory purchases of consumer durables towards the end of 1970. The change of the value-added tax forms part of a comprehensive reform of the tax system, aimed at increasing the emphasis on indirect taxation, particularly with the view to reducing the tax burden on single persons and married women with own income, and for lower income groups. The tax reform proposal will be published in March 1970.

Monetary Policy and Development

As will be seen from the following chronology of measures affecting monetary conditions in 1969, action was taken in several fields: interest rates, liquidity requirements, purchases of securities, quantitative restrictions on bank borrowing in the Central Bank and a tightening of restrictions on foreign capital transactions. The strong deterioration of the balance of payments, notably the swing in capital transactions, added to the absorption of domestic liquidity by the Central Bank. The tightening thus, was both very strong and rapid, and the climate in the

money and credit market changed significantly during 1969. But monetary conditions were very easy in 1968 when the enterprise sector improved its liquidity position considerably. The effects of the change in policy in 1969 on the real economy seem to have been rather modest and, apparently, business expectations did not change very much.

Chronology of measures affecting monetary conditions in 1969

February — Discount rate was raised from 5 to 6 per cent, with similar increases in banks' deposit and lending rates.

March — Liquidity ratios for commercial banks—previously optional—were made obligatory, amounting to 30 per cent of deposits for larger and 24 per cent for minor commercial banks to be held in the form of cash, certain securities or foreign assets. Foreign liquid assets, however, could be counted against liquidity requirements only up to 1.5 per cent of deposits. Liquidity shortfalls—calculated at the end of each month—were to carry a penalty rate of 4 per cent per annum.

An agreement on portfolio infestment was concluded between the Central Bank on the one hand and savings banks, postal savings banks, insurance companies and the National Pension Insurance Fund on the other, requiring the credit institutions to place an amount equivalent to 2/3 (with a slight modification for insurance companies) of net increase in investment in 1969 in high priority assets: cash, net deposits with domestic credit institutions, government bonds, housing bonds and loans to dwelling construction.

July — Discount rate was raised from 6 to 7 per cent, with similar increases in banks' deposit and lending rates (with some exceptions).

Commercial banks were recommended to bring down, by the end of 1969, their lending for non-dwelling purposes to the level prevailed at the beginning of 1969.

August — Commercial banks were required to hold equivalent of 1 per cent of liabilities (same denominator as in the calculation of liquidity ratios) on current account with the Central Bank. The rule applies to the position at the end of each day with

reference to the liabilities at the beginning of previous month. Short-falls were to carry'a penalty rate equal to discount rate plus 3 per cent, i.e. 10 per cent per annum.

Quantitative ceilings were introduced on individual banks' recourse to central bank credit—taking into account seasonal swings and development of the banks' lending to other purposes than dwelling construction.

September Tighter restrictions on private direct investment abroad, on the sales of Swedish securities owned by non-residents, sales of foreign exchange to emigrants and on purchases of pension insurance abroad. (See further details in the section on trade and exchange policy.)

Developments in the monetary field are summarised in Table 15 below. However, annual figures give no clear indication of the tightening which took place largely from May onwards. Preliminary estimates of the position at the end of 1969 suggest that commercial banks' lending, after a rise of Kr. 2 759 million in the first half, fell by Kr. 2 549 million in the second half of the year; the fall was particularly strong in the fourth quarter. This development seems to have been caused primarily by the decision to bring the bank lending for non-dwelling purposes at

Table 15 **Monetary Indicators**
Change during period. Kr. million

	1966	1967	1968	1969
CENTRAL BANK ASSETS :				
Foreign assets, net[1]	170	−869	−339	−404
Domestic securities	943	277	1 189	1 059
Domestic advances[2]	−331	1 212	−317	709
COMMERCIAL BANKS :				
Assets : Foreign assets, net	162	858	−120	−944
Net position with Central Bank	219	−1 320	617	−32
Domestic securities	1 212	2 313	909	2 257
Total advances	1 827	3 184	4 981	313
Liabilities :				
Total deposits	2 572	4 714	6 218	608
LARGER SAVINGS BANKS :				
Assets : Domestic securities	262	140	137	708
Total advances	1 527	1 811	2 582	2 054
Liabilities :				
Total deposits	1 988	2 212	2 260	2 073

1 Excluding gold and IMF position.
2 Excluding instalment loans.

Sources : Monthly Digest of Swedish Statistics and Central Bank Annual Report.

the end of 1969 down to the level prevalaid at the beginning of that year and the introduction in August of quantitative ceilings on bank borrowing in the Central Bank. Deposits from the public—although rising less than in 1967 and 1968—at the end of December were Kr. 608 million above the level a year earlier.

The total net amount of funds raised by private and public borrowers in the organised credit market fell from Kr. 19 900 million in 1968 to Kr. 17 250 million in 1969 (Table 16). Central government borrowing is estimated at Kr. 3 800 million or about Kr. 1 000 million more than forecast at the beginning of the year. Borrowing by the private sector (excluding dwellings) amounted to Kr. 4 200 million, substantially less than in 1968 (Kr. 7 217 million) as well as the forecast for 1969 (Kr. 8 500 million). Since business fixed investment and inventory formation rose substantially faster than in 1968, it must be assumed that a larger part

Table 16 The Credit Market

Net change in outstanding credits. Kr. million

	Borrowing sector				
	Central government	Local authorities	Dwellings	Other[1]	Total
Lending sector					
1963, Total	200	950	3 800	3 550	8 500
1964, »	250	1 450	4 400	3 100	9 200
1965, »	−250	1 130	4 670	4 700	10 250
1966, »	1 250	1 350	5 500	4 600	12 700
1967, »	3 008	1 644	6 830	5 875	17 357
1968 : The Riksbank	1 230	12	108	27	1 377
Commercial banks	262	95	1 978	3 304	5 639
Other banks	507	650	2 096	969	4 222
Private insurance institutions	191	115	888	600	1 794
Public insurance institutions	533	493	2 779	1 883	5 688
Other	647	52	27	434	1 160
TOTAL	3 370	1 417	7 876	7 217	19 880
1969 : The Riksbank	1 500	0	0	0	1 500
Commercial banks	1 550	100	1 100	900	3 650
Other banks	0	400	2 650	550	3 600
Private insurance institutions	−300	150	1 350	650	1 850
Public insurance institutions	600	600	2 800	1 600	5 600
Other	450	100	0	500	1 050
TOTAL	3 800	1 350	7 900	4 200	17 250

1 Industry, commerce and households.

Source : Central Bank of Sweden.

of investment was financed by the enterprise sector's own funds. Thus, the quarterly survey of liquid assets in industry and commerce indicates a rapid fall in liquidity accumulation from the end of 1968 onwards. Destpite this, the investment survey in November and the business tendency survey in December indicated no significant change in the outlook for business investment and production. On the contrary, expectations for the first half of 1970 seem to be even more optimistic than earlier. The business sector thus seems to have had great ability to adapt itself to the restrictive measures. However, usually there is a considerable time lag between the introduction of monetary measures and their impact on real demand for goods and services, particularly when, as was the case in Sweden, monetary conditions are extremely easy at the outset. Seasonal factors also tended to soften the effect of monetary tightening in the fourth quarter: the central government budget is weak in this period due mainly to net reimbursements of the payments following the final tax assessment for the previous year.

Total bond issues in 1969 amounted to Kr. 13 023 million (see Table 17), rather more than in 1968 due to a strong increase in issues by mortgage institutes. Investment in dwelling in 1969 rose only moderately (about 3 per cent in current prices) and should not have entailed much increase in mortgage borrowing but 1969 saw a considerable replacement of short-term building credits granted in 1967 and 1968 by definitive long-term bond loans. The deficit on the central government budget in 1969 was covered mainly by long-term bond issues estimated at Kr. 3 400 million. Approximately Kr. 600 million were obtained through lottery bonds and special savings bonds. The Central Bank and the commercial banks each purchased government bonds worth Kr. 1 500 million (see Table 16).

Until February, issue rates for government bonds were 6 per cent and for industrial and municipal bonds 6.25 per cent. After the increase of the discount rate from 5 to 6 per cent, issue rates were raised to 6.75 and 7 per cent, respectively. In July—after the increase of the discount rate to 7 per cent—issue rates were increased to 7.25 and 7.5 per cent, respectively. At the end of November 1969 the effective yield on government bonds (15 years to maturity) was 7.25 per cent against 6.19 per cent a year earlier. Industrial bonds yields, however, had risen over the same period from 6.73 to 8.63 per cent, presumably due to the higher demand for government bonds created by the March agreement on portfolio investment between the Central Bank and the credit institutions. The rise in long-term interest rates in Sweden during 1969 was roughly in line with trends abroad, notably in the Euro-bond market. The level at the end of the year was approximately equal to German rates but remained far below rates in e.g. the United

Kingdom and Denmark. Swedish short-term rates, on the other hand, in spite of the strong rise during the year, remained below Euro-dollar rates (more than 11 per cent for 3 month credit at the end of the year).

Table 17 **The Market for Securities**
Kr. million

	1966	1967	1968	1969
Bond issues[1]	7 159	8 954	11 602	13 023
Central Government	1 475	2 408	4 150	3 989
Mortgage institutes	4 675	4 563	5 666	8 001
Other	1 009	1 983	1 786	1 033
Change in outstanding bonds[2]	4 991	7 351	8 860	9 848[3]
Share issues[4]	857	1 335	743	1 238[5]

1 Including debentures.
2 Issues less redemptions.
3 September 1968 to September 1969.
4 Excluding bonus issues.
5 Twelve month period November 1968 to November 1969.

Sources : Monthly Digest of Swedish Statistics and Central Bank Annual Report.

Trade and Exchange Policy

On 11th September, 1969 the Swedish authorities introduced measures aimed directly at improving the balance of payments, notably the capital account, which had shifted from surplus in 1968 to a deficit in 1969. Action was taken in the following fields: direct investment abroad, sales of Swedish securities by non-residents, sales of foreign currency to emigrants and purchases of foreign pension insurances by residents:

(*i*) With regard to direct investment abroad by residents, the policy previously pursued resulted in very few refusals of applications. Approvals always implied the right for the investor to transfer funds from Sweden. According to the new practice, transfer of funds from Sweden is allowed only to cover investment which encourages exports, saves foreign-exchange or concerns developing countries normally receiving Swedish assistance. In other cases, the funds must partly or wholly be obtained in foreign capital markets.

(*ii*) Sales by non-residents to residents of Swedish securities, which are controlled according to existing rules, were to be maintained at the 1968 level, i.e. about Kr. 1 million per week.

(*iii*) As previously, emigrants are allowed to purchase foreign currency up to Kr. 100 000 ($19 300), but future permissions to make transfers over and above this amount are to be granted only on the basis of an assessment of individual cases, notably with respect to applications for transfers of more than Kr. 1 million ($193 000) per family.

(*iv*) Purchases of foreign pension insurances etc., after 11th September 1969, can only be made up to an amount corresponding to a premium of Kr. 1 000 per year. This rule, which represented a tightening of restrictions imposed in December 1968, also applies to contracts made before 11th September unless special exemption is given by the Central Bank.

The change in the exchange controls were notified to the OECD in accordance with the derogation clauses of the Codes of Liberalisation of Capital Movements and Current Invisible Operations. The most important measures, the restrictions on direct investment, is supposed to result in a substantial reduction of capital transfers. Thus, in the period from 11th September to the end of the year, permissions were granted for direct investment abroad for a total of Kr. 481 million, of which with related transfer of capital Kr. 124 million, with foreign finance Kr. 297 million and with reinvestment of profits Kr. 60 million. Applications amounting to Kr. 59 million were refused. The restriction on the sale of securities would not appear to have created a long queue of applications; at the end of the year applications outstanding amounted to only Kr. 19 million. However, the restriction may have influenced the price of Swedish securities in foreign markets.

Man-Power and Regional Policies

Labour market policies were developed already in the 1950's, comprising a comprehensive system of institutions for retraining and sheltered employment, relief works in special regions and local labour offices. A need for strengthening these facilities was felt as aggregate demand grew only slowly from late 1966 to late 1968, and there was increasing redundancy of labour in certain industries i.e. due to increasing labour costs and modernisation. Appropriations in the central government budget for manpower and regional policies were raised from Kr. 1 025 million in 1965/66 to Kr. 2 110 million in 1969/70, increasing the share in total appropriation from 3.5 to 5 per cent. In 1969 expenditure in this field may have amounted to about 1.5 per cent of GDP. The use of the funds is entrusted to the Labour Market Board

and its regional offices; the latter are responsible also for the maintenance of an optional capacity utilisation in the building and construction sector through a permit system.

With strong demand for man-power in 1969, the labour market policy was orientated towards stimulating mobility through further extension of retraining facilities and higher travel and starting allowances. The authorities have estimated that, in November 1969, the number of persons covered by various employment measures totalled 71 300 against 86 800 in November 1968 (Table 18). But over the same period the number of persons attending retraining courses increased from 34 700 to 38 200, reflecting continued release of labour from forestry and wood processing industries, agriculture and some less profitable import-competing industries which had to close down or reduce their activity. The average duration of a retraining course is about 6 months which means that about 80 000 persons participated in such activities in 1969. Persons who are not suitable for retraining due to age or physical inability, are to an increasing extent employed in public workshops or by private employers who receive subsidies from the labour market authorities. The number of persons in sheltered occupations was also higher in November 1969 than a year earlier. On the other hand, persons working on relief works—mainly public construction etc.—fell significantly, and some other measures which in 1967 and 1968 had contributed to the maintenance of employment and economic activity, were discontinued between February and November 1969.

Table 18 **Employment Creating Measures**
Number of persons

	1968		1969	
	Feb.	Nov.	Feb.	Nov.
Employment resulting from[1] :				
Retraining courses	33 800	34 700	36 700	38 200
Relief works[2]	24 500	19 200	23 200	13 400
Release of investment funds	12 000	7 000	6 500	700
Speeding up of public investment	7 000	6 500	7 300	—
Speeding up of orders to industry	2 000	1 400	1 000	—
Sheltered employment	15 000	16 000	17 000	19 000
Special measures for young people	5 000	2 000	2 000	—
Total	99 300	86 800	93 700	71 300

1 Except for retraining courses and relier works, the figures are estimated.
2 General relief works and relief works for handicapped persons.

Source : Swedish National Labour Market Board.

The number of persons benefiting from special allowances to stimulate regional mobility has increased in line with the retraining programmes. To a large extent the same persons are covered by both schemes, particularly those moving from the northern districts to the three main industrial areas around Stockholm, Gothenburg and Malmo. However, in spite of strong efforts to obtain a better regional balance in the labour market, the number of jobs vacant rose strongly in the industrial areas while unemployment remained high in the north. In order to reduce somewhat the pressure on the labour market, the Government in April and May decided that certain appropriations for fiscal 1968/69 (July to June) could be transferred to the following fiscal year, if warranted by the employment situation in the industries concerned. A survey by the Labour Market Board in December 1969 showed that orders amounting to approximately Kr. 500 million, mainly for military equipment had been deferred to 1969/70 or later.

Table 19 **Stimulation of Mobility**

	Fiscal year[1]			
	1965/66	1966/67	1967/68	1968/69
	Number of persons concerned			
Allowances for :				
Travelling	35 564	32 613	47 133	59 931
Removal	3 030	3 002	4 441	6 383
Starting	20 589	15 871	22 468	29 183
Family	2 649	2 797	4 332	5 554
Equipment	1 620	1 349	1 673	3 815
	Kr. million			
Total allowances	22.3	21.1	31.3	55.8

1 1st July to 30th June.

Source : Swedish National Labour Market Board.

NOTE One person may have been granted more than one of the allowances.

III PROSPECTS AND CONCLUSIONS

Prospects for GDP in 1970

After the rapid upturn of production and employment in the first part of 1969, the advance was slower towards the end of the year, mainly due to capacity constraints and man-power shortage in key sectors. Man-power retraining programmes and the release of labour from contracting industries and industries under rapid modernisation, as well

as immigration, may also in the coming year add to the small natural increase in the supply of man-power to growth industries. But the re-allocation of labour takes time and requires a costly effort in terms of investment in dwellings and public expenditure. The increase in production in 1970 due to the transfer of ressources from low to high-productivity sectors may not be very different from 1969. Production per hour in 1969 for the whole economy may have increased by approximately 5 per cent; in manufacturing the rise was over 9 per cent. The take-up of the slack in the capital-intensive industries was possibly without a corresponding increase in the use of man-power. Whith virtually full capacity utilisation at the beginning of 1970 productivity may be assumed to increase by somewhat less than the 5 per cent experienced in 1969. The rise in overall productive capacity is difficult to estimate due to cyclical swings in the growth of the labour force, with net immigration to some extent filling the gaps between supply and demand for man-power, but even if net immigration should be at the same level as last year (when it was very high), the growth of capacity may not exceed 4½ per cent.

The overall demand impact from the public sector, private investment and exports is likely to rise substantially less than in 1969. In real terms, public consumption may increase by 4.0 per cent, central government fixed investment (excluding dwellings) by about 4.5 per cent, representing a slowdown in the growth of public demand for goods and services to about 4 per cent compared to 6.8 per cent last year. The slowdown may be particularly marked for local authority investment in building and construction due to the tight monetary policy. With the programme for dwelling starts rather unchanged and partly due also to a certain saturation of the market, investment in dwellings is forecast to fall by 1.0 per cent after a fall of 1.6 per cent last year. On these assumptions public expenditure on goods and services and investment in dwelling combined may rise by about 3½ per cent.

Surveys of investment intentions in manufacturing as well as information on capacity utilisation obtained through the quarterly business tendency surveys, point to a strong increase in business fixed investment. But the size of the acceleration is difficult to forecast. In many industries investment decisions are probably influenced by shortage of man-power. But the net effect of this factor is highly uncertain. Some industries may be encouraged to invest in labour saving machinery while others feel compelled to postpone investment projects if it appears impossible to recruit additional, qualified man-power. Another element of uncertainty is the effect of a continuation of present monetary policy, with extremely strong restrictions on bank lending to the business sector. Monetary tightening was to some extent alleviated in the second half

of 1969 when central government finance added strongly to liquidity, so the full effect of the change of monetary policy was probably not felt until the first months of 1970. But from now onwards tight money may become a stronger obstacle to the finance of new investment, and higher interest rates may reduce its profitability, although the latter factor, according to past experience does not seem to discourage business fixed investment unduly. A larger inflow of capital from abroad, which might be desirable for balance of payments reasons could also offset much of the domestic monetary restraint. On balance, however, the 10 per cent increase in business fixed investment expected by the authorities may seem to be on the high side.

The growth of local authority fixed investment is expected to decelerate considerably (from 10.7 to 5 per cent) due to tighter monetary policy. The increase in central government investment should also slow down. Total fixed investment according to these projections is expected to rise by 5.5 per cent against 4.0 per cent last year. Stock-building is forecast to remain at the 1969 figure, which, however, was relatively high.

The growth of exports is likely to slow down after the strong advance in 1969. The detailed review of prospects for the main commodity groups mad by the National Institute of Economic Research points to a rise in the value of merchandise exports (excluding ships, aircraft and weapons) of about 12 per cent, assuming a 3.5 per cent price increase and a 8 per cent volume increase; including ships, aircraft and weapons the value rise is estimated at 11½ per cent. The main part of the rise is ascribed to pulp, paper, iron ore, iron and steel and engineering products. The final official forecast, however, based on a more optimistic view concerning the scope for higher output in the export industries, expects a 12.5 per cent increase in exports (8.5 per cent in volume). The lower forecast for exports assumes a 6.3 per cent increase in production in the total manufacturing against the 8.0 per cent recorded in 1969. However, there were signs of a slowdown of the expansion in the engineering industries in the last half of 1969; in November production was 7.8 per cent higher than a year earlier. This was certainly due to capacity constraints which are likely to persist also in 1970. Estimates of the OECD Secretariat point to a rise in Swedish export markets of 10.5 per cent, and even the lower alternative for exports thus imply a more optimistic view than pointed at by present OECD forecasts. Moreover, the forecast does not include effects on exports of the labour conflict in the most important iron ore mines. The export loss is uncertain but has been estimated by the authorities at some $20 million.

Developments in the labour market in recent months seem to point to a somewhat stronger trend in wage earnings than assumed in the original forecasts for 1970 made by the National Institute of Economic Research. The authorities now expect that the wage bill as well as total factor incomes may rise by close to 10 per cent instead of the 8.3 per cent originally assumed. The disposable household income may rise by some 7.4 per cent against the earlier forecast of 6.6 per cent. However, the rise in consumer prices may also be stronger, some 4.5 per cent, than the 3.7 per cent previously forecast, implying that the rise in real disposable income would be the same as in the earlier forecast, 2.8 per cent. The tight credit market should have a restrictive influence on the growth of private real consumption but the increase of the value-added tax from 10 to 15 per cent on 1st January 1971 is expected to boost consumer expenditure through anticipatory buying towards the end of the year. Moreover, it has been assumed that the tendency towards a rising propensity to consume will continue.

On the above assumptions national expenditure may rise by about 4 per cent. With a volume increase in exports of goods of 8.5 per cent and a rise in imports of some 7.5 per cent, real GDP would increase by 4.3 per cent, roughly in line with the growth of capacity.

Table 20 **Prospects for GDP in 1970**

	Kr. million, current prices	Percentage change in volume over previous year	
	1969	1969	1970
Public expenditure	47 666	6.8	4.1
Investment in dwellings	7 742	−1.6	−1.0
Business fixed investment	12 753	3.0	10.0
Private consumption	78 042	3.9	3.5
DOMESTIC FINAL DEMAND	146 203	4.3	4.1
Exports of goods	29 426	12.1	8.5
Net services	490	0.3[1]	0.2[1]
TOTAL FINAL DEMAND	176 119	6.0	4.7
Change in stocks	1 758	1.2[1]	1.2[1]
Imports of goods	30 517	13.1	7.5
GROSS DOMESTIC PRODUCT	147 360	5.0	4.3

1 Per cent of GDP.

Source : Preliminary National Budget for 1970.

Balance of Payments Outlook

The prospects for exports and imports discussed above would imply a reduction of the trade deficit from $211 million in 1969 to $99 million in 1970. Although the export forecast may be optimistic, such an improvement would not seem unlikely since the forecast growth of the volume of imports may also be on the high side. It is more uncertain, however, whether the terms of trade will continue to improve by about 1 per cent, and in particular whether import prices would not rise more than the 2.5 per cent assumed in the Preliminary National Budget. Net earnings on services are expected to fall in line with past trends and transfers to abroad may rise to $164 million, leaving a current deficit (including an official estimate of unrecorded current earnings) of $130 million against $198 million in 1969.

Table 21 **Prospects for Balance of Payments in 1970**

$ million

	1969	1970
Trade balance	−211	−99
Net earnings from shipping	364	367
Tourism, net	−233	−261
Other services, net	−114	−148
Transfers	−159[1]	−164
Unrecorded current earnings[2]	155	174
CURRENT BALANCE	−198	−130

1 Including a writing off of a loan to Finland of $ 20 million.
2 Official estimate.

Source : Preliminary National Budget for 1970.

Given the uncertainties surrounding the prospects for capital movements, it may not be useful to attempt a forecast. But it may be appropriate to assess the implications for the overall balance of payments of the forecast for the current account. To avoid a further loss of reserves in 1970, a net capital inflow of $130 million would be required. With a net outflow of $127 million in 1969 (including errors and omissions) this would imply a swing of $257 million. The question is whether present policies, notably in the fields of exchange control and monetary restraint, are sufficient to produce such a shift. Restrictions on direct investment abroad seem already to have considerably reduced the net ouflow under this heading, and this trend may continue. The control measures taken in September 1969 could also save marginal

amounts. Moreover, particularly in view of the buoyancy of business investment plans for 1970, a continuation of present monetary restraint could progressively encourage enterprises to increase financing abroad.

As shown in the chapter on Recent Trends, during most of the last decade the deficit on the current external account has tended to increase in relation to GDP as the improvement of the trade balance has not been strong enough to offset the deterioration in net services and transfers. This develpment ran counter to a basic objective of Swedish economic policy of ensuring a growing surplus in the balance of goods and services to provide finance for the rapidly increasing development aid and to enable some strengthening of foreign exchange reserves. It is Government's intention to increase official development aid by 25 per cent annually in the coming five year period, so that it would reach 1 per cent of GDP—about Kr. 2 500 million—in 1975. Tentative estimates suggest that the trade balance would need to improve by at least 0.3 per cent of GDP a year between 1970 and 1975 in order to obtain approximate balance on current account in 1975. This would be substantially more than the 0.1 per cent per year realised in 1962-1970.

Policy Conclusions

The recent trend in the balance of payments has been disappointing. The balance on goods and services has remained in deficit, although the restoration of a surplus of some size as a basis for development aid has been an official aim for some time. In 1969, although Swedish exports rose exceptionally fast, the current deficit increased, and a certain deficit seems likely to persist in 1970 when foreign demand for Sweden's exports is likely to remain buoyant, although less so than last year. With regard to the capital account, it is difficult to judge to what extent the change to a large outflow in 1969, after several years of steady inflow, was a short-term phenomenon influenced by speculative factors and interest rate differentials, or to what extent it represented a longer-term tendency. One element of some longer-term significance may have been the rise in the direct investment outflow; given the shortage of labour and the high Swedish wage level, a growing tendency for Swedish industry to expand production abroad would not be surprising. In any case, with the prospect of a deficit on current account and the low level of external reserves, economic policy cannot risk a continuation of a large capital outflow.

A significant improvement of the balance of payments must be a major aim of economic policy in 1970. As a very minimum, it would seem desirable to avoid a further decline in the foreign exchange reserves; indeed, an increase would seem very appropriate given their

present low level. Giving priority to the strengthening of the foreign balance will have implications for demand management policy, and for policies affecting costs and prices.

Under present circumstances, a tighter demand management policy would seem likely to have an important effect on the current account of the balance of payments. The pressure on resources increased considerably in 1969. There was probably a spill-over of demand to imports, and shortage of labour hampered the expansion of exports. In 1970, domestic demand is expected to rise more slowly than in 1969 and some switch of resources to the balance of payments would seem likely. But the expected slowdown of final domestic demand is not very marked (from 4.3 per cent in 1969 to 4.1 per cent in 1970), and the labour market is likely to remain very tight; in the export industries the shortage of labour is now a major constraint on further expansion. With foreign demand for Swedish exports likely to remain relatively strong, a more moderate increase in domestic demand would seem to be called for; it would ease the pressure on the labour market, enable a more significant switch of resources to exports and improve the current foreign balance.

In view of the desirability of reversing the capital outflow, the maintenance of a tight credit policy may be required. Moreover, it would seem necessary to ensure that interest rate differentials are such that they stimulate an inflow rather than an outflow of funds. However, it may not be desirable to go much further than this, as the effect on domestic demand may fall mainly on investment; given the fall in business fixed investment in 1967 and 1968, it would be unfortunate if the stronger trend experienced in 1969 was not maintained in 1970. There may, therefore, be need for a tighter fiscal policy than now envisaged, aimed mainly at restricting the growth of private consumption.

A tighter demand management policy, with some easing of the pressure on the labour market, is essential also from the point of view of achieving cost/price stability. Statistics on the movement of labour costs are not very reliable, but as far as one can judge, the increase in unit labour costs in manufacturing in Sweden in recent years has not been out of line with trends elsewhere. But a better cost performance may be needed to achieve the required improvement of the current account. In the absence of restrictive monetary and fiscal measures, wage drift will probably remain strong and, together with inflationary pressures, produce an unfavourable climate for the wage negotiations which are due to begin towards the end of the year. And in the somewhat longer perspective a better cost performance would favour higher fixed investment and steady growth.

An improvement of the balance of payments must also be a major aim of economic policy in the somewhat longer run. As already noted, it is the declared objective of the authorities to restore a surplus on goods and services sufficient to finance a continued increase in development aid. An important feature of the current account has been the marked deterioration in the balance on services. As this tendency would seem unlikely to be reversed in the very near future, a marked improvement of the trade balance is necessary to restore a current account surplus. The achievement of this aim will require both limitations on the growth of domestic demand and continued improvement of the cost and price performance, thus putting heavy claims on demand management as well as incomes policy.

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STATISTICAL ANNEX

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Table A **Supply and Use of Resources**

Kr. million, current prices

	1959	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969
Consumers' expenditure on goods and services	37 140	39 239	42 472	46 048	49 883	54 271	59 746	64 435	69 003	73 124	78 042
General government current expenditure on goods and services	11 183	11 986	13 019	14 920	16 647	18 589	21 094	24 389	27 470	31 138	34 730
Defense											
Civil											
Gross fixed asset formation	13 925	15 079	16 974	18 664	20 589	23 104	25 463	28 135	30 591	31 435	33 430
Change in stocks	116	1 869	1 215	790	317	1 532	2 898	1 582	121	513	1 758
NATIONAL EXPENDITURE	62 364	68 173	73 680	80 422	87 436	97 532	109 201	118 541	127 185	136 079	147 960
Exports of goods and services (non-factor)	14 389	16 546	17 450	18 538	20 104	22 881	24 641	26 271	28 078	30 424	34 758
Imports of goods and services (non-factor)	14 386	16 974	17 104	18 295	19 904	22 551	25 641	27 052	28 120	30 675	35 456
GROSS DOMESTIC PRODUCT AT MARKET PRICES	62 367	67 745	74 026	80 665	87 636	97 862	108 201	117 760	127 143	135 959	147 262
Income payments from the rest of the world	308	326	328	371	349	500	408	560	538	543	557
Income payments to the rest of the world	179	202	232	244	252	313	372	460	508	581	683
GROSS NATIONAL PRODUCT AT MARKET PRICES	62 496	67 869	74 122	80 792	87 733	98 049	108 327	117 860	127 173	135 921	147 136
Indirect taxes	5 842	7 201	8 048	9 374	10 283	11 140	12 617	14 657	15 833	17 184	18 808
Subsidies	741	790	1 002	1 072	1 089	1 110	1 247	1 555	1 633	1 493	1 495
GROSS NATIONAL PRODUCT AT FACTOR COST	57 395	61 458	67 076	72 490	78 539	88 019	96 957	104 753	112 973	120 230	129 823

Source : Swedish submission to the OECD.

Table B **Supply and Use of Resources**

Kr. million, 1959 prices

	1959	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969
Consumers' expenditure on goods and services	37 140	37 801	39 935	41 410	43 475	45 983	48 263	49 367	50 729	52 895	54 940
General government current expenditure on goods and services	11 182	11 391	11 872	12 654	13 417	13 801	14 584	15 299	15 877	17 190	18 180
Defense											
Civil											
Gross fixed asset formation	13 925	14 199	15 452	16 279	17 384	18 772	19 538	20 705	21 729	21 613	22 491
Change in stocks	116	1 791	1 158	719	276	1 370	2 584	1 442	36	419	1 485
NATIONAL EXPENDITURE	62 363	65 182	68 417	71 062	74 552	79 926	84 969	86 813	88 371	92 117	97 096
Exports of goods and services (non-factor)	14 389	16 172	16 831	18 098	19 297	21 335	22 238	23 518	24 835	26 825	29 986
Imports of goods and services (non-factor)	14 386	16 703	16 782	17 832	18 985	20 764	33 186	23 950	24 803	26 878	30 546
GROSS DOMESTIC PRODUCT AT MARKET PRICES	62 366	64 651	68 466	71 328	74 864	80 497	84 021	86 381	88 403	92 064	96 536

Source : Swedish submission to the OECD.

Table C **Gross Fixed Asset Formation**

Kr. million, 1959 prices

	1959	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969
GROSS FIXED ASSET FORMATION, TOTAL	13 925	14 199	15 452	16 279	17 384	18 772	19 538	20 705	21 729	21 613	22 491
PRODUCT CLASSIFICATION[1] :											
Dwellings	3 110	3 039	3 269	3 545	3 824	4 255	4 390	4 315	4 942	5 085	5 006
Other building and construction	6 094	6 199	6 615	6 910	7 523	8 078	8 436	8 932	9 165	9 014	9 854
Transport equipment	1 621	1 857	1 682	1 801	1 793	2 048	1 892	2 305	2 337	2 114	1 974
Other equipment	3 189	3 185	3 902	4 117	4 402	4 569	4 916	5 270	5 397	5 455	5 746
INDUSTRIAL CLASSIFICATION :											
Agriculture, forestry and fishing	575	607	766	712	723	824	1 013	956	932	957	932
Mining and quarrying	163	120	115	158	206	223	177	144	171	168	173
Manufacturing	2 701	2 827	3 617	3 614	3 639	3 353	3 730	4 131	3 985	3 924	4 062
Construction	518	484	537	538	630	654	655	619	590	607	664
Electricity, gas and waterworks	1 343	1 324	1 397	1 320	1 365	1 549	1 538	1 650	1 749	1 727	1 953
Transport and communications	2 570	2 783	2 530	2 688	2 798	3 129	2 954	3 495	3 654	3 298	3 264
Dwellings	3 110	3 039	3 269	3 545	3 824	4 255	4 390	4 315	4 942	5 085	5 006
Public administration	302	327	319	393	496	519	559	606	695	771	885
Other service industries	2 643	2 688	2 902	3 311	3 703	4 266	4 522	4 789	5 011	5 076	5 552
INSTITUTIONAL CLASSIFICATION :											
Private enterprises	8 077	8 572	9 601	9 952	10 411	11 042	11 289	12 273	12 337	11 665	11 963
Public enterprises and corporations	3 243	3 424	3 623	3 880	4 004	4 383	4 700	4 667	5 147	5 287	5 416
General government	2 605	2 203	2 228	2 447	2 969	3 347	3 549	3 765	4 245	4 661	5 112

1 Total of this breakdown exceeds that of other breakdowns due to a negative post not being distributed.

Source : Swedish submission to the OECD.

Table D **Income and Expenditure of Households and Private Non-Profit Institutions**

Kr. million, current prices

	1959	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969
Compensation of employees	34 603	38 951	42 647	47 732	52 667	58 664	65 080	72 285	78 503	84 572	91 150
Wages and salaries	32 690	36 301	39 946	44 169	48 086	53 270	58 896	65 160	69 793	74 160	79 542
Employers' contributions to social security	393	840	1 092	1 728	2 426	3 043	3 567	4 154	5 385	6 758	7 475
Employers' contributions to private insurance	418	365	438	543	740	858	954	1 077	1 164	1 325	1 476
Imputed pension fees from government	1 102	1 085	1 171	1 292	1 415	1 493	1 663	1 894	2 161	2 331	2 657
Income from property and entrepreneurship	10 932	11 644	12 457	12 595	12 795	14 086	14 965	15 259	15 944	15 798	16 194
Income of independent traders	5 166	5 446	5 753	5 796	5 978	6 655	6 900	6 583	6 936	6 620	6 424
Interests, rents, dividends and unallocated incomes	5 766	6 198	6 704	6 799	6 817	7 431	8 065	8 676	9 008	9 178	9 770
Current transfers from government[1]	5 701	6 150	6 645	7 372	8 597	9 536	11 110	12 488	14 464	16 241	18 161
Claims paid from casualty insurance	190	214	255	310	361	407	458	532	526	562	613
Current transfers from the rest of the world	21	38	85	74	65	65	65	55	41	43	48
INCOME OF HOUSEHOLDS AND PRIVATE NON-PROFIT INSTITUTIONS	51 447	56 637	62 089	68 083	74 485	82 758	91 678	100 619	109 478	117 216	126 166
Direct taxes on households and private non-profit institutions	11 516	13 252	15 285	17 250	19 599	22 424	26 585	30 421	34 938	38 972	43 337
Direct taxes	8 206	9 293	10 933	11 864	13 000	14 920	18 180	20 755	23 328	25 111	27 940
Total contributions to social security	1 991	2 629	2 906	3 769	4 791	5 579	6 261	7 200	8 872	10 865	12 045
Casualty insurance premiums	217	245	275	325	393	432	481	572	577	665	695
Imputed pension fees to government	1 102	1 085	1 171	1 292	1 415	1 493	1 663	1 894	2 161	2 331	2 657
DISPOSABLE INCOME	39 931	43 385	46 804	50 833	54 886	60 334	65 093	70 198	74 540	78 244	82 829
Current transfers to government	624	611	682	737	822	911	1 024	1 224	1 416	1 524	1 845
Current transfers to the rest of the world	36	46	88	96	78	146	164	167	84	121	100
Consumers' expenditure on goods and services	37 140	39 239	42 472	46 048	49 883	54 271	59 746	64 435	69 003	73 124	78 042
Saving of households and private non-profit institutions	2 131	3 489	3 562	3 952	4 103	5 006	4 159	4 372	4 037	3 475	2 842

1 Including social security outpayments.

Source : Swedish submission to the OECD.

Table E **Central Government Revenue and Expenditure**[1]

Fiscal year beginning 1st July

Kr. million, current prices

	1960/61	1961/62	1962/63	1963/64	1964/65	1965/66	1966/67	1967/68	1968/69
CURRENT REVENUE	15 414	16 732	18 509	19 505	22 790	26 440	28 753	30 214	32 843
Direct taxes	6 918	7 508	7 794	7 686	9 851	11 021	11 729	11 808	12 918
Indirect taxes	7 528	8 156	9 531	10 648	11 508	13 778	15 078	16 383	17 736
Other	968	1 068	1 184	1 171	1 432	1 641	1 946	2 023	2 189
CURRENT EXPENDITURE	11 988	12 993	14 963	16 054	18 817	21 932	24 659	26 986	28 193
Purchases of goods and services	5 224	5 888	6 737	7 365	8 446	9 771	10 425	11 019	11 380
Defense	2 895	3 288	3 664	3 917	4 240	4 786	4 937	5 100	5 374
Civil	2 329	2 600	3 073	3 448	4 206	4 985	5 489	5 419	6 006
Subsidies	778	881	883	910	1 059	1 234	1 229	1 206	1 095
Interest	1 011	899	793	815	875	917	953	1 108	1 210
Current transfers	4 975	5 325	6 550	6 964	8 437	10 010	12 053	13 653	14 508
NET CURRENT SAVING	3 426	3 739	3 546	3 451	3 973	4 508	4 094	3 228	4 650
Depreciations and other operating provisions	871	874	1 089	1 034	1 312	1 221	1 306	1 315	1 339
GROSS SAVING	4 297	4 613	4 635	4 485	5 285	5 729	5 400	4 543	5 989
Gross fixed asset formation	2 281	2 319	2 558	2 847	3 079	3 135	3 543	3 758	4 410
SURPLUS ON CURRENT AND FIXED INVESTMENT ACCOUNT	2 016	2 294	2 077	1 638	2 206	2 594	1 857	775	1 579
Lending	1 156	1 233	1 234	1 005	1 360	1 933	2 318	2 362	3 170
Net capital transfers to other sectors	395	431	454	635	788	895	1 050	1 161	1 114
SURPLUS BEFORE BORROWING	465	630	389	−2	58	−234	−1 511	−2 748	−2 705

1 According to OECD definitions.

Source : Swedish submission to the OECD.

Table F **The National Pension Insurance Fund**

Kr. million

	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969
Contribution paid	468	699	1 346	1 891	2 442	2 905	3 484	4 160	5 195	5 643
Pensions paid out	—	—	—	36	102	153	286	433	606	833
ASSETS BY KIND OF OBJECTS, NOMINAL VALUE END OF YEAR :										
Bonds	406	985	2 262	3 741	5 654	7 697	10 689	14 097	18 894	23 258
Debentures	15	23	140	264	401	587	731	1 018	1 027	1 079
Municipal loans excl. bonds	41	136	276	445	724	1 107	1 425	1 728	2 096	2 506
Other	18	61	170	314	573	1 132	1 868	2 530	3 216	4 437
TOTAL	480	1 205	2 848	4 764	7 352	10 523	14 173	19 373	24 232	31 370
INVESTMENTS BY GROUPS OF BORROWERS CASH VALUE END OF YEAR :										
Government bonds	135	104	176	435	700	979	1 211	1 455	1 987	2 581
Housing credits	173	606	1 276	1 978	3 021	4 245	6 599	8 560	11 639	14 741
Agriculture	15	40	74	166	250	349	474	582	686	779
Municipal loans	61	154	342	665	1 140	1 673	1 964	2 427	2 898	3 461
Loans to Swedish enterprises	87	267	869	1 312	1 820	2 566	3 350	4 916	6 365	7 542
Other	—	19	83	208	350	631	1 019	1 338	1 558	2 155
TOTAL	471	1 190	2 820	4 764	7 281	10 443	14 617	19 278	25 133	31 259

Source : Swedish submission to the OECD.

Table G **Balance of Payments**

$ million

	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969[4]
Exports of goods f.o.b.	2 566	2 745	2 925	3 203	3 676	3 971	4 267	4 528	4 911	5 688
Imports of goods c.i.f.	2 901	2 929	3 123	3 393	3 856	4 377	4 582	4 701	5 126	5 899
TRADE BALANCE	−335	−184	−198	−190	−180	−406	−315	−173	−215[3]	−211
Freight and merchandise insurance	393	411	447	487	527	550	566	621	644	660
Other transportation	−74	−80	−99	−136	−186	−196	−210	−231	−221	−245
Net tourism	−21	−37	−52	−71	−80	−113	−143	−178	−199	−230
Investment income	29	28	37	36	53	45	43	30	19	—
Non-merchandise insurance and other	−68	−73	−104	−116	−105	−121	−152	−166	−210	−225
INVISIBLES, NET	259	250	229	200	209	165	105	76	33	−43
Adjustment[1]	13	26	30	29	34	41	33	30	44	36
GOODS AND SERVICES	−63	91	61	39	63	−200	−176	−67	−138	−218
Private transfers	−10	−1	−2	−1	−11	−13	−16	−20	−23	−30
Central government transfers	—	−9	−18	−27	−34	−39	−53	−58	−72	−106
CURRENT ACCOUNT	−73	82	41	11	17	−252	−246	−145	−233	−371
Central government capital	−3	4	−14	12	25[2]	8	23	−5	−12	−46
Private long-term capital	9	14	62	−83	67	43	134	100	129	−51
of which :										
Direct investment, net	−9	−17	−6	24	−54	−15	21	−8	60	−81
Other	18	37	60	−107	136	60	111	108	60	30
Private short-term capital	—	−12	−5	3	5	12	47	24	−12	−24
CAPITAL BALANCE	6	15	41	−66	111	65	203	119	105	−121
Errors and omissions[5]	12	87	3	39	54	202	135	−12	111	149
NON-MONETARY TRANSACTIONS, NET	−54	180	83	−19	183	13	94	−38	−17	−326
Foreign exchange reserves, change :	−31	196	93	−23	197	22	67	−41	−5	−359
Central bank, incl. IMF position	52	192	89	−45	200	2	56	−195	−18	−141
Commercial banks' sight position	−83	4	4	22	−3	20	11	154	13	−218
Commercial banks' time position, change	−23	−16	−10	6	−14	−9	27	3	−12	33

1 Official estimate of trade not registered in the official foreign trade statistics.
2 Including local authority borrowing of $1 million.
3 Adjusted for the effect of a speeding up of customs statistics.
4 Preliminary.
5 Including the official estimate of unrecorded current earnings which in Table 8 in the text is included in the current account.

Source : Sveriges Riksbank.

Table H Quarterly National Accounts
Kr. million

	Household income						Private consumption		Gross fixed asset formation			External transactions				
	Wages salaries pensions	Other factor income	Transfers received	Taxes etc.	Disposable income				Total	Build. and constr.	Mach. and equip.	Exports of goods	Imports of goods	Exports of services[1]	Imports of services[1]	Balance on goods and services[1]
	Current prices							1959 prices								
	Orig.					Adj.										
	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
1964	58 664	14 086	10 008	23 481	59 277	..	54 271	45 983	18 772	12 155	6 617	17 864	18 691	3 471	1 803	841
1965	65 080	14 965	11 633	27 773	63 905	..	59 746	48 263	19 538	12 826	6 808	18 700	20 824	3 538	2 362	−948
1966	72 285	15 259	13 075	31 812	68 807	..	64 435	49 367	20 705	13 247	7 575	19 850	21 352	3 668	2 598	−432
1967	78 503	15 944	15 031	36 438	73 040	..	69 003	50 729	21 729	14 107	7 734	20 833	21 905	3 947	2 898	32
1968	84 572	15 798	16 846	40 617	76 599	..	73 124	52 895	21 523	14 099	7 479	22 560	23 696	4 265	3 182	−53
1969	90 522	16 216	18 748	44 633	80 853	..	78 042	54 940	22 491	14 860	7 720	25 367	26 831	4 702	3 715	−477
Quarterly																
1966 1	16 480	3 668	3 317	8 328	15 131	16 331	15 472	12 041	4 853	3 079	1 806	4 780	5 277			
2	17 756	3 796	3 114	8 425	16 241	16 983	15 920	12 242	5 311	3 335	2 004	4 920	5 204			
3	19 201	3 713	3 282	8 041	18 155	18 087	16 422	12 556	5 174	3 324	1 880	4 998	5 194			
4	18 848	4 082	3 362	7 018	19 274	17 406	16 621	12 528	5 367	3 509	1 885	5 101	5 302			
1967 1	18 519	3 831	3 876	9 818	16 408	17 633	16 917	12 599	5 245	3 489	1 787	5 037	5 254			
2	20 038	3 990	3 522	10 167	17 383	18 156	17 224	12 692	5 374	3 477	1 925	5 487	5 375			
3	19 959	3 865	3 922	8 941	18 805	18 721	17 317	12 655	5 532	3 569	1 991	5 092	5 518			
4	19 987	4 258	3 711	7 512	20 444	18 530	17 545	12 783	5 578	3 572	2 031	5 217	5 398			
1968 1	19 987	3 796	4 405	10 836	17 352	18 598	17 994	13 098	5 446	3 590	1 881	5 551	5 703			
2	21 682	3 959	3 932	11 559	18 014	18 808	18 081	13 114	5 324	3 487	1 858	5 383	5 609			
3	21 301	3 829	4 201	10 044	19 287	19 193	18 243	13 163	5 508	3 519	1 995	5 880	5 974			
4	21 602	4 214	4 308	8 178	21 946	20 000	18 796	13 520	5 245	3 503	1 745	5 797	6 237			
1969 1	20 992	3 904	4 805	11 751	17 950	19 215	19 060	13 622	5 494	3 654	1 869	6 160	6 169			
2	22 619	4 074	4 463	12 486	18 670	19 483	19 357	13 722	5 407	3 621	1 808	6 222	6 715			
3	23 790	3 916	4 686	11 410	20 982	20 879	19 342	13 576	5 593	3 746	1 868	6 515	6 777			
4	23 121	4 322	4 794	8 986	23 251	21 276	20 283	14 020	5 997	3 839	2 175	6 554	6 857			

1 National accounts under revision, new quarterly figures not yet available.

Sources: The Central Bureau of Statistics, the Swedish Economy and the National Institute of Economic Research.

Table I Labour Market

	Labour Force Survey[1]				Registered Unemployment[2]							Employment Measures[2]			Jobs Vacant[2]	
	Labour Force			Empl. total	Total	*of which :* unemp. more than 1 month	Insured unemployed					Relief work	Other protected empl.	Re-training	Orig.	Adj.
	Total	Men	Women				Orig.	Adj.	Per cent of insured							
									Total	Manufacturing	Build. and const.					
	1 000 persons								Orig.			1 000 persons			Thousands	
	17	18	19	20	21	22	23	24	25	26	27	28	29	30	31	32
1962	3 746	2 393	1 353	3 690	23.2	..	18.6	..	1.3	0.8	4.3	5.6	1.8	10.1	37.3	..
1963	3 813	2 412	1 401	3 748	24.8	..	20.1	..	1.4	0.9	4.6	10.5	2.1	12.5	41.5	..
1964	3 779	2 395	1 384	3 719	21.2	..	17.0	..	1.1	0.7	3.3	9.6	2.4	13.7	47.1	..
1965	3 794	2 400	1 394	3 749	20.0	..	16.6	..	1.1	0.7	3.4	9.8	2.7	15.9	53.8	..
1966	3 840	2 404	1 437	3 780	26.7	..	22.2	..	1.4	1.0	4.9	9.2	3.1	18.8	44.6	..
1967	3 816	2 391	1 425	3 734	35.9	..	28.8	..	1.7	1.5	5.4	13.7	3.6	23.5	32.6	..
1968	3 868	2 399	1 469	3 781	40.1	24.2	33.4	..	2.0	1.8	5.4	20.3	4.9	29.6	36.3	..
1969	3 895	2 387	1 509	3 821	36.0	23.0	29.9	..	1.7	1.5	4.5	28.1	6.6	32.3	56.9	.
Quarterly																
1966 1	3 789	2 379	1 411	3 724	42.7	..	38.4	26.3	2.4	1.1	10.9	11.2	2.9	19.8	41.4	49.3
2	3 837	2 389	1 448	3 778	22.5	..	19.0	20.3	1.2	0.8	3.8	9.2	3.0	18.9	53.5	46.4
3	3 915	2 466	1 449	3 856	14.9	..	10.6	19.9	0.7	0.7	1.1	7.0	3.1	15.6	48.7	43.9
4	3 821	2 383	1 438	3 761	26.6	..	20.7	22.2	1.3	1.2	3.6	9.4	3.2	21.0	34.9	38.8
1967 1	3 797	2 377	1 420	3 700	46.7	..	39.5	27.1	2.4	1.6	9.4	15.9	3.4	24.5	28.6	34.2
2	3 806	2 384	1 422	3 737	32.3	18.9	26.2	27.7	1.6	1.4	4.9	14.3	3.5	23.6	38.8	33.5
3	3 867	2 436	1 431	3 781	25.4	13.0	18.7	28.3	1.1	1.3	2.4	10.5	3.6	19.0	36.0	32.2
4	3 793	2 368	1 425	3 716	39.1	20.2	30.8	32.3	1.8	1.7	4.9	14.1	3.9	27.1	26.9	29.7
1968 1	3 813	2 373	1 439	3 709	56.6	33.7	48.5	35.8	2.9	2.1	10.6	23.7	4.3	33.0	26.5	31.6
2	3 856	2 395	1 461	3 780	35.2	22.1	29.4	31.0	1.7	1.6	4.4	22.6	4.8	30.7	42.6	36.6
3	3 947	2 450	1 497	3 858	30.5	17.9	23.9	33.7	1.4	1.7	2.2	15.3	5.0	21.2	40.6	36.5
4	3 857	2 378	1 479	3 780	38.2	23.0	31.6	33.0	1.9	1.8	4.3	19.6	5.6	33.5	35.4	40.2
1969 1	3 866	2 372	1 494	3 778	52.0	33.1	44.6	31.6	2.6	1.9	8.8	22.0	6.1	36.2	39.6	47.2
2	3 870	2 373	1 497	3 795	33.8	23.6	28.1	29.8	1.6	1.4	4.0	15.5	6.5	31.5	65.5	56.4
3	3 955	2 443	1 512	3 838	26.2	16.4	20.5	30.4	1.2	1.4	1.6	34.8	6.7	23.5	64.1	57.7
4	3 888	2 358	1 531	3 823	31.8	18.7	26.2	27.6	1.5	1.3	3.6	40.1	7.2	38.1	58.5	66.4

1 February, May, August and September. The employment concept covers all gainfully employed, independently of the number of hours worked.
2 Averages of mid-month observations.
Sources : Labour Market Statistics, Monthly Digest of Swedish Statistics and the OECD, Main-Economic Indicators.

Table J Production, Demand and Employment by Sectors

Mining and manufacturing (cont. on page 55)

	Production, 1963 = 100, seasonally adjusted									Employment		Orders[1]				
			Manufacturing							Hours worked		Shipyards		Other engineering		
	Mining and manuf. Total	Mining and quarrying	Total	Food beverages and tobacco	Textiles clothing and footwear	Chemicals etc.	Basic metals	Metal products	Forest products 25-26 part of 27	Mining and manuf. Total	Metal industries	New orders	Order stock end of period	New orders	Order stock end of period: Total	Order stock end of period: *of which*: for export
	ISIC	11-19	20-39	20-22	23-24	31-32	34	35-38		Jan. 1968 = 100						per cent
	33	34	35	36	37	38	39	40	41			44	45	46	47	48
1962	94	97	94	98	95	92	94	96	92	..	..	40	74	99	109	33
1963	100	100	100	100	100	100	100	100	101	..	..	110	80	103	111	34
1964	110	111	110	105	103	115	115	109	112	..	..	61	79	116	120	32
1965	119	118	119	107	101	128	126	121	119	..	..	79	68	117	130	31
1966	124	119	124	113	97	142	126	130	118	103.9	..	56	65	111	126	31
1967	127	123	128	116	100	160	129	131	126	97.8	..	73	59	106	112	36
1968	134	137	134	120	98	179	138	136	137	89.9	88.6	100	128	100	130	32
1969	144	138	144	121		204	149	148	146							
Quarterly																
1966 1	124	119	123	110	101	134	129	131	115	110.8		74	72	108	128	30
2	123	121	122	113	95	139	126	130	116	103.2		43	68	116	126	30
3	123	125	122	113	95	145	123	128	115	86.7		8	59	107	129	32
4	124	108	125	112	96	147	127	131	124	108.2		98	60	111	118	33
1967 1	127	112	126	116	99	154	129	130	124	104.3		25	54	103	115	35
2	128	128	127	116	103	158	130	132	127	102.6		69	55	112	112	36
3	127	124	130	117	101	158	126	134	128	81.7		163	66	95	113	37
4	130	134	130	117	99	170	130	133	127	102.6		35	60	112	107	37
1968 1	129	138	128	118	100	174	132	123	133	97.7[2]	97.5	30	96	115	109	33
2	135	137	135	123	99	175	135	139	137	90.3	88.8	113	101	100	123	31
3	137	131	138	119	99	182	146	143	138	76.8	73.4	109	113	87	130	31
4	140	144	140	123	98	190	145	145	141	94.6	94.6	148	128	99	131	32
1969 1	141	146	141	120	102	192	149	142	143	92.7	93.7	156	148	102	135	33
2	146	140	146	123	108	204	153	152	145	89.5	90.3	68	149	109	140	34
3	147	148	148	124	103	214	153	155	154	80.2	79.7	158	170	104	152	36
4	147	128	149	124		214	154	154	152							

1 Figures for 1968 and on are not comparable with earlier periods owing to changes in the index base and method of calculation. Data for new index collected at current prices. For new orders 1968 = 100 and for order stock 31st Dec. 1967 = 100. The earlier indices were calculated on the basis of number of working hours. The base periods were Sept.-Nov. 1954 and 31st Aug. 1954, respectively. The indices for 1968 as a whole according to the earlier method are: 44: 68, 45: 60, 46: 119, 47: 126, 48: 34.

2 Break in series. Public enterprises not included before 1968.

Sources: Monthly Digest of Swedish Statistics, Statistical Reports, Series Am, the OECD, Industrial Production and the OECD Secretariat.

Table J **Production, Demand and Employment by Sectors** *(continued)*

	Mining and manufacturing *(continued)*							Elec., gas, water works	Building and construction				Retail Trade			
	Change in stocks		Fixed asset formation						Total		Dwellings		Retail trade			Passenger car registrations
					New investments									*of which:*		
	Total	*of which:* finished goods	Total	Maint. and repair	Total	Build. and constr.	Mach. and equip.	Fixed asset formation	Starts	Under construction[2]	Starts	Under construction	Total	Clothing	Durables	
	Kr. million, end-year prices		Kr. million, current prices						Build. cost Kr. mill. current prices		1 000 dwellings		Q2 1955 = 100			Thous.
	49	50	51	52	53	54	55	56	57	58	59	60	61	62	63	64
1962	478	315	6 205	1 867	4 338	1 586	2 752	1 540	8 324		92.6		138.5	109.9	158.4	195.3
1963	122	160	6 483	1 992	4 491	1 657	2 834	1 630	7 793		86.8		149.2	116.2	168.7	228.7
1964	1 118	301	6 526	2 172	4 354	1 526	2 828	2 127	9 413	17 936	96.9	115	160.6	123.6	181.9	243.7
1965	1 836	1 094	7 554	2 479	5 075	1 758	3 317	2 151	10 599	19 847	93.1	111	172.6	131.9	196.2	285.7
1966	1 470[1]	780[1]	8 676[1]	2 820[1]	5 856[1]	2 159[1]	3 697[1]	1 989[1]	11 327	21 287	94.1	116	183.9	138.0	205.6	209.0
1967	6	366	8 541	2 666	5 875	2 169	3 706	2 183	14 347	23 594	99.8	116	193.7	141.8	218.7	185.2
1968	30	−125	8 388	2 674	5 714	1 852	3 862	1 887	15 408	25 240	107.3	117				201.0
1969									15 426	26 027	103.9	112				231.6
Quarterly																
1966 1	941	1 008	1 700	578	1 122	413	709	349	1 960		12.6		155.4	106.0	171.5	52.2
2	250	155	2 115	669	1 446	526	920	574	2 177		20.1		183.5	149.4	179.9	51.6
3	−110	−499	2 168	706	1 462	546	916	474	2 577		22.0		179.8	117.4	195.9	55.9
4	389	116	2 905	862	2 043	795	1 248	666	4 707	21 483	39.3	111	216.7	179.5	275.2	50.5
1967 1	282	535	1 714	609	1 105	439	666	433	2 485	22 456	14.5	110	169.5	113.1	198.1	45.8
2	−115	−26	2 050	656	1 394	497	897	522	3 997	23 516	31.8	110	193.9	151.3	187.8	49.9
3	29	−370	1 969	611	1 358	470	888	560	3 640	23 395	32.7	118	186.9	116.1	204.3	45.2
4	−190	227	2 808	790	2 018	763	1 255	668	4 226	25 009	20.8	120	224.3	186.1	284.6	44.3
1968 1	271	460	1 832	583	1 249	501	748	350	2 747	24 790	19.9	114	175.9	114.8	207.5	40.7
2	−201	−151	1 934	609	1 325	381	944	495	3 380	25 171	30.0	114	100.0[3]	100.0[3]	198.6	55.9
3	−163	−473	1 971	637	1 334	389	945	428	4 415	24 838	32.0	118	98.6	95.0	..	52.1
4	123	−39	2 651	845	1 806	581	1 225	614	4 580	26 162	25.5	120	100.0	115.7	..	52.4
1969 1	579	336	1 736	586	1 136	355	781	323	2 842	25 709	20.0	114	92.3	91.4	..	55.7
2	220	−125	1 967	637	1 330	411	919	452	3 648	25 831	28.7	112	100.7	103.3	..	64.3
3	397	−535	2 116	681	1 435	496	939	354	3 971	25 241	30.8	115	102.9	99.4	..	55.9
4					2 222	626	596	765	4 965	27 327	24.3	116				55.7

1 Change in sample from 1966. Figures for 1966 according to previous sample: 49: 1 502, 50: 679, 51: 8 760, 52: 2 759, 53: 6 001, 54: 2 187, 55: 3 814, 56: 2 409.
2 End of February, May, August, November, yearly figures are average of quarterly stocktaking.
3 New index, 2nd quarter 1968 = 100, based on a different sample and new definitions. Durable goods not anymore separable after second quarter 1968.
Sources: Monthly Digest of Swedish Statistics and Statistical Reports, Series H.

Table K **Foreign Trade, Total and by Areas**

$ million, monthly rates

	Total Imports c.i.f.		Total Exports f.o.b.		Imports by areas						Exports by areas					
					OECD countries			Non-OECD countries			OECD countries			Non-OECD countries		
	Orig.	Adj.	Orig.	Adj.	Total	EEC	EFTA	East-ern Europe	Other devel-oped countr.	Devel-oping countr.	Total	EEC	EFTA	East-ern Europe	Other devel-oped countr.	Devel-oping countr.
	65	66	67	68	69	70	71	72	73	74	75	76	77	78	79	80
1962	259	..	243	..	210.8	105.6	70.4	11.7	6.6	29.8	186.1	80.1	82.8	12.8	16.9	27.2
1963	282	..	267	..	228.0	109.8	81.0	12.8	6.5	34.2	208.1	85.4	95.5	11.1	18.4	28.6
1964	321	..	306	..	259.9	119.9	96.2	13.3	8.1	38.6	240.5	96.7	112.2	14.0	23.3	26.8
1965	365	..	331	..	295.3	137.0	110.6	15.0	10.7	42.6	263.5	102.9	124.3	12.9	25.1	28.5
1966	381	..	356	..	306.0	137.6	118.9	16.8	13.3	43.9	281.7	107.8	128.7	13.7	27.0	31.7
1967	392	..	377	..	315.9	137.9	126.9	17.1	13.4	44.7	295.1	101.0	145.7	15.8	27.2	35.6
1968	427	..	411	..	337.9	146.3	134.1	19.3	16.5	51.6	324.2	111.6	159.4	18.6	28.0	38.7
1969	492	..	472	..												
Quarterly																
1966 1	394	384	328	348	319.9	142.7	125.4	15.6	10.4	46.4	259.2	101.4	118.1	12.6	24.4	29.9
2	376	383	368	357	300.3	132.5	118.0	16.1	15.4	42.7	294.2	113.9	131.3	14.4	27.2	29.9
3	352	378	332	354	278.1	128.1	105.5	17.2	12.0	43.5	262.8	103.0	120.9	13.2	24.8	30.3
4	403	381	401	369	325.4	147.0	127.5	18.2	16.1	42.5	314.1	113.8	146.5	15.2	31.7	36.3
1967 1	398	392	349	374	321.4	140.1	132.7	17.1	12.7	44.8	275.2	94.4	135.6	13.4	23.6	35.0
2	382	381	412	397	308.4	133.0	125.9	15.3	13.5	42.8	320.6	106.4	161.3	17.2	31.2	37.0
3	378	410	340	364	301.2	136.7	119.9	17.3	12.8	45.3	265.9	97.9	128.9	15.2	23.9	31.1
4	413	392	412	382	333.3	143.4	131.1	18.7	14.4	45.8	320.8	107.2	158.3	18.3	30.3	39.3
1968 1	430	411	388	408	338.2	146.4	134.5	18.3	13.5	58.1	309.1	107.2	150.0	16.7	27.5	33.2
2	400	408	405	394	315.2	137.0	126.7	18.4	17.5	47.4	323.2	108.4	164.3	20.0	26.3	32.6
3	409	440	404	430	323.2	139.1	126.2	19.5	14.8	49.9	316.8	109.2	152.1	17.4	26.6	41.3
4	469	441	451	414	375.9	164.5	148.4	21.0	20.0	50.7	349.3	121.8	172.6	21.1	31.8	47.2
1969 1	465	451	439	468	370.8	161.4	153.1	20.7	19.8	51.8	337.6	122.8	166.8	17.7	33.9	48.1
2	487	498	478	464	387.8	162.5	158.2	22.1	25.2	50.5	367.7	135.1	172.1	24.6	34.7	49.0
3	477	512	449	480	378.7	165.5	155.0	22.3	21.5	53.0	342.0	126.0	163.9	23.4	32.1	51.1
4	537	505	522	479												

Sources : The OECD, Foreign Trade Statistics, Series A and the OECD, Main Economic Indicators.

Table L **Imports : Value, Volume, Prices and by Commodity Groups**

	Imports c.i.f. 1959 = 100			Imports by commodity groups (Kr. million)												
									Misc. manuf. goods					Transport equipment		
										of which :					*of which :*	
	Value	Volume	Prices	Total	Food, beverages, tobacco	Raw materials	Mineral fuels	Chemicals	Total	Textiles	Iron and steel	Non-el. machinery	Elec. machinery	Total	Cars	Ships and boats
				SITC	0.1	2.4	3	5	6, 8, 9	65	67	71	72	73	732.1/4	735
	81	82	83	84	85	86	87	88	89	90	91	92	93	94	95	96
1962	129	126	103	16 154	1 931	1 245	2 166	1 240	4 961	1 030	883	1 982	1 060	1 569	823	259
1963	140	134	104	17 552	2 117	1 334	2 372	1 323	5 409	1 159	846	2 058	1 140	1 798	997	314
1964	160	148	108	19 946	2 447	1 476	2 508	1 557	6 298	1 289	1 066	2 343	1 302	2 015	1 163	275
1965	181	166	110	22 644	2 501	1 713	2 477	1 746	7 464	1 368	1 280	2 796	1 530	2 416	1 405	297
1966	189	169	112	23 704	2 825	1 751	2 686	1 885	7 687	1 286	1 229	3 093	1 627	2 150	1 067	389
1967	195	174	112	24 319	2 783	1 554	2 727	2 046	8 129	1 452	1 112	3 180	1 796	2 104	904	370
1968	212	189	112	26 516	2 924	1 677	3 258	2 425	8 813	1 486	1 209	3 367	1 887	2 172	972	333
1969				30 502	3 075	1 881	3 205	2 697	10 752	1 692	1 674	3 950	2 363	2 579	1 185	384
Quarterly																
1966 1	196	174	113	6 100	705	456	673	470	1 962	349	321	746	413	686	322	172
2	187	164	114	5 830	691	390	606	474	1 888	297	322	781	397	606	306	116
3	175	156	112	5 464	622	453	652	425	1 799	286	287	753	367	392	188	58
4	200	177	113	6 282	810	455	753	502	2 024	346	301	811	432	473	250	53
1967 1	197	174	113	6 126	715	389	650	499	2 092	387	301	861	466	480	251	16
2	189	169	112	5 916	683	354	563	521	1 962	355	280	838	445	555	236	93
3	188	166	113	5 864	632	387	773	489	1 908	325	255	714	426	539	188	164
4	206	182	113	6 413	754	424	736	540	2 184	377	278	781	448	549	230	97
1968 1	214	189	113	6 681	745	389	836	574	2 263	395	329	920	463	483	258	15
2	199	176	113	6 213	707	402	685	575	2 016	341	281	837	451	534	223	142
3	203	181	113	6 353	651	413	855	592	2 080	346	283	772	442	541	186	62
4	233	207	112	7 269	819	464	888	685	2 429	395	318	827	525	643	304	146
1969 1	231	204	113	7 214	743	408	806	635	2 531	431	397	991	530	571	322	16
2	242	211	114	7 558	767	475	700	706	2 583	409	375	1 052	575	698	305	93
3	237	206	115	7 403	698	480	881	650	2 662	398	423	928	555	549	240	49
4				8 327	867	518	818	706	2 976	454	479	979	703	761	318	226

Source : Monthly Digest of Swedish Statistics.

Table M **Exports : Value, Volume, Prices and by Commodity Groups**

	Exports f.o.b. 1959 = 100			Exports by commodity groups (Kr. million)												
	Value	Volume	Prices	Total	Food, beverages, tobacco	Raw materials Total	Raw materials of which: Wood Pulp	Raw materials of which: Ores	Chemicals	Misc. Manuf. goods Total	Misc. Manuf. goods of which: Paper etc.	Misc. Manuf. goods of which: Iron and steel	Non-el. machinery	Elec. machinery	Trans. equip. Total	Trans. equip. of which: Ships and boats
				SITC	0.1	2-4	25	28	5	6, 8, 9	64	67	71	72	73	735
	97	98	99	100	101	102	103	104	105	106	107	108	109	110	111	112
1962	132	129	102	15 129	508	4 230	1 683	1 047	459	4 573	1 505	1 126	2 666	738	1 957	1 060
1963	145	140	103	16 568	541	4 594	1 953	1 003	535	5 066	1 695	1 229	2 658	860	2 314	1 310
1964	166	156	106	19 014	530	5 492	2 281	1 250	642	5 876	1 917	1 509	2 983	1 124	2 361	1 184
1965	180	164	110	20 541	596	5 626	2 237	1 269	721	6 417	1 941	1 665	3 230	1 160	2 798	1 480
1966	193	174	111	22 071	636	5 551	2 332	1 181	830	7 216	2 072	1 847	3 875	1 362	2 607	988
1967	205	183	112	23 422	644	5 472	2 268	1 067	887	7 760	2 133	2 104	4 081	1 467	3 111	1 295
1968[1]	224	199	112	25 553	610	5 934	2 243	1 255	1 024	8 561	2 378	2 257	4 463	1 700	3 262	1 259
1969				29 425	737	6 446	2 442	1 379	1 214	10 073	2 706	2 620	4 989	1 958	4 007	1 562
Quarterly																
1966 1	178	159	112	5 087	165	1 128	455	263	186	1 674	471	422	948	324	665	240
2	199	179	111	5 795	178	1 436	650	297	217	1 911	565	492	1 010	336	618	210
3	180	162	111	5 155	149	1 542	599	354	196	1 624	485	388	846	308	490	178
4	217	195	111	6 209	144	1 484	633	312	232	2 031	552	549	1 112	400	821	361
1967 1	189	169	112	5 398	137	1 200	548	219	204	1 850	507	496	964	345	712	245
2	223	199	112	6 380	192	1 419	591	269	259	2 085	567	573	1 152	388	896	382
3	185	164	113	5 256	169	1 436	550	301	199	1 717	489	450	873	325	555	236
4	224	199	113	6 388	147	1 418	585	277	228	2 127	571	586	1 123	415	941	435
1968 1	211	187	113	6 014	145	1 394	547	303	235	2 092	575	543	1 081	435	641	148
2	220	197	112	6 255	147	1 453	542	305	251	2 059	559	543	1 082	382	907	414
3[1]	220	195	113	6 260	140	1 513	520	346	264	2 100	613	553	1 068	411	777	313
4	245	219	112	7 024	173	1 595	635	321	269	2 317	627	619	1 243	474	923	362
1969 1	238	209	114	6 804	180	1 437	555	308	272	2 397	645	636	1 215	484	820	266
2	259	226	115	7 411	215	1 595	637	307	313	2 522	684	666	1 305	467	994	342
3	244	211	116	6 972	200	1 727	610	406	300	2 317	649	565	1 126	432	869	322
4				8 238	142	1 687	640	357	327	2 843	728	753	1 338	575	1 328	631

1 Changes in the statistical reporting system resulted in exceptional additions to the export figures, about Kr. 150 million for 1968, concerning mainly September. Adjusted for this the value index and the volume index are 214 and 190 respectively for the 3rd quarter 1968 and 222 and 198 respectively for 1968 as a whole.

Source : Monthly Digest of Swedish Statistics.

Table N Prices and Wages

	Consumer prices, 1949 = 100								Net price index[1] 1959 = 100	Wholesale prices 1949 = 100	Building cost non-dwellings Jan.1963 = 100[2]	Hourly Earnings, Feb. 1947 = 100[3]				
	Total	Food stuffs	Alcoholic beverages, tobac.	Rent	Heating and light	Clothing and footwear	Household equipment	Misc.				Total	*of which:* Mining	Metal products	Pulp and paper	Clothing and textiles
	113	114	115	116	117	118	119	120	121	122	123	124	125	126	127	128
1962	170	195	187	168	154	135	148	165	107.0	154	..	..	..	..	..	..
1963	175	205	198	167	157	137	149	169	109.8	159	102	..	..	..	..	..
1964	181	213	202	180	158	140	152	174	114.0	166	106	..	..	..	..	..
1965	190	227	210	195	152	145	159	183	118.6	173	112	..	..	..	..	..
1966	202	242	230	211	155	152	164	197	124.6	178	117	..	..	..	..	..
1967	211	250	241	225	153	157	166	210	129.2	178	121	..	..	..	..	..
1968	215	252	253	232	161	157	167	214	129.9	180	125	..	..	..	..	..
1969	221	261	247	253	154	157	166	222	130.3	187	130	..	..	..	..	..
Quarterly																
1966 1	199.4	236.9	225.9	209.2	156.9	150.2	162.4	193.3	122.7	177	115	442.8	421.3	430.8	457.9	429.7
2	201.8	241.6	230.0	210.3	155.5	151.1	162.8	196.1	124.4	179	117	453.3	434.6	438.4	475.5	434.6
3	203.1	242.7	231.4	212.5	152.8	151.6	163.4	198.6	125.0	177	118	467.0	441.0	451.5	488.4	461.9
4	205.1	245.7	231.6	212.9	155.3	154.9	164.5	200.6	126.4	178	118	478.1	450.9	462.5	497.9	466.8
1967 1	208.6	247.5	235.9	224.3	151.0	155.0	165.4	206.8	128.9	178	119	495.8	473.7	480.0	515.9	485.6
2	210.6	250.4	245.2	223.1	144.3	157.2	166.8	209.6	128.5	178	120	511.4	479.7	490.5	558.0	499.4
3	212.4	251.0	243.4	224.3	160.7	157.6	167.2	211.3	130.0	178	123	504.0	471.6	486.7	524.6	494.8
4	212.5	250.8	243.5	226.4	155.3	158.9	167.0	211.6	129.6	179	123	512.8	482.2	494.8	531.2	500.6
1968 1	214.1	251.1	250.4	231.8	160.2	156.9	166.9	213.1	129.4	180	124	527.0	507.0	507.9	539.1	536.2
2	214.6	250.5	253.6	231.5	161.8	157.7	166.9	213.6	129.6	180	125	540.6	514.3	517.5	558.7	550.2
3	215.7	252.9	253.6	232.3	166.0	156.8	167.4	214.5	130.4	180	126	536.8	504.9	516.0	552.0	549.6
4	216.2	255.2	253.5	234.5	157.9	157.4	167.4	215.3	130.2	181	126	547.2	523.3	524.6	566.5	554.2
1969 1	218.2	256.0	224.1	247.6	157.3	154.7	166.7	218.6	131.9	184	128	560.3	541.8	539.3	579.9	561.6
2	219.8	253.2	254.4	250.5	155.5	156.8	165.8	221.0	132.8	185	129	577.8	547.8	553.0	613.4	574.9
3	221.9	263.1	254.8	255.2	155.3	156.5	165.7	222.6	134.5	188	131	573.4	546.1	554.5	591.6	570.9
4	223.8	267.3	255.4	258.3	148.9	158.6	166.6	224.4	135.6	193	133	608.4	565.2	581.7	641.9	615.4

1 Consumer prices excluding indirect taxes; February, May, August, November.
2 At beginning of quarter.
3 February, May, August, November.

Sources: The Central Bureau of Statistics and Monthly Digest of Swedish Statistics.

Table O Money and Credit

	Interest rates						Central Bank		Non-bank liquidity			Commercial bank liquidity				
	Official discount rate	Lending rates		Deposit rates 6 months' notice	Bond yields[2]		Holdings of		Money supply		Savings deposits	Liquid assets total		Cash and sight deposits	Domestic securities[3]	Foreign assets[3] net
		Commercial banks	Savings banks		Government 15 years	Industrial bonds	Foreign assets	Domestic securities	Orig.	Adj.		Orig.	Adj.			
	Per cent						Kr. million, end of period									
	129	130	131	132	133	134	135	136	137	138	139	140	141	142	143	144
1962	4.00	5.75	5.25	3.75	4.99	5.66	2 934	4 683	11 730	..	18 500	8 385	..	515	7 277	642
1963	4.00	5.75	5.25	3.75	4.93	5.59	2 679	5 037	12 830	..	20 110	7 415	..	554	6 480	751
1964	5.00	7.00	6.50	4.75	5.64	6.15	3 498	4 707	13 910	..	21 950	8 343	..	482	7 111	644
1965	5.50	7.50	7.00	5.25	6.18	6.66	3 160	5 121	14 620	..	22 890	7 707	..	523	6 716	685
1966	6.00	9.25	7.50	5.75	6.57	7.38	3 331	6 064	15 840	..	24 530	8 684	..	485	7 928	847
1967	6.00	9.25[1]	7.50	5.75	6.06	6.65	2 462	6 341	17 140	..	28 200	11 306	..	538	10 241	1 705
1968	5.00	8.25	6.50	4.75	6.19	6.73	2 123	7 530	19 440	..	32 750	12 405	..	625	11 150	1 586
1969	7.00	10.25	8.50	6.75	7.27	8.57	1 720	8 589	16 280	..	35 740		..	359	13 406	321
Quarterly																
1966 1	5.50	7.50	7.00	5.25	6.55	6.93	3 213	3 380	12 710	13 240	24 510	6 325	6 736	347	6 429	612
2	6.00	8.00	7.50	5.75	6.80	7.69	3 410	4 188	14 180	13 540	23 700	6 390	7 239	443	5 914	475
3	6.00	8.00	7.50	5.75	6.52	7.72	3 463	3 413	13 060	13 830	24 530	6 867	7 287	342	6 974	679
4	6.00	8.00	7.50	5.75	6.35	7.67	3 331	6 064	15 840	14 170	24 530	8 684	7 832	485	7 928	847
1967 1	5.00	8.25[1]	6.50	4.75	5.89	6.22	3 140	4 310	13 840	14 430	26 820	8 348	8 794	322	8 708	980
2	5.00	8.25	6.50	4.75	5.90	6.47	3 328	5 355	14 820	14 640	26 470	9 002	9 876	359	8 147	1 285
3	5.00	8.25	6.50	4.75	5.95	6.53	3 314	4 891	14 490	15 030	27 720	9 985	10 383	329	8 816	1 437
4	6.00	9.25	7.50	5.75	6.80	7.49	2 462	6 341	17 140	15 320	28 200	11 306	10 435	538	10 241	1 705
1968 1	5.50	8.75	7.00	5.25	6.29	7.03	2 834	4 331	15 630	16 020	30 600	11 161	11 634	348	11 178	1 319
2	5.50	8.75	7.00	5.25	6.29	7.04	2 653	5 889	16 560	15 770	30 520	10 910	11 804	360	10 678	1 165
3	5.50	8.75	7.00	5.25	6.33	7.06	2 674	5 641	16 160	16 820	32 430	11 726	12 107	403	11 064	1 335
4	5.00	8.25	6.50	4.75	6.19	6.73	2 123	7 530	19 440	17 360	32 750	12 405	11 519	625	11 150	1 586
1969 1	6.00	9.25	7.50	5.75	6.72	7.59	1 891	6 982	14 360[4]	17 100[4]	37 310[4]	13 380[4]	13 791[4]	428[4]	11 909[4]	1 125[4]
2	6.00	9.25	7.50	5.75	6.98	7.89	1 143	5 768	14 760	16 630	36 350	10 866	11 643	458	11 940	1 227
3	7.00	10.25	8.50	6.75	7.28	8.60	942	7 112	13 970	16 680	37 450	13 280	13 636	351	12 801	849
4	7.00	10.25	8.50	6.75	7.27	8.57	1 720	8 589	16 280	18 950	35 740		14 174	359	13 406	321

1 Break in series.
2 Yearly figures are averages of mid-month figures.
3 Including some assets not included in liquid assets as defined in column 140.
4 Owing to modifications of the banks' reporting of assets and liabilities the figures as from beginning 1969 are not comparable in all respects with earlier periods.

Sources: Monthly Digest of Swedish Statistics, International Financial Statistics and the Swedish Economy.

Table O **Money and Credit** *(continued)*

Kr. million

	Structure of Bank Deposits				Bank lendings					Bond market			Share issues (excl. bonus issues)	Invest. Fund Deposits		
	Commercial banks	Larger Savings Banks	Post Office Savings Bank	Rural Credit Societies	Commerc. banks: Amounts granted	Commerc. banks: Amounts drawn	Larger Savings Banks	Post Office Savings Bank	Rural Credit Societies	Issues	Redeemed	Outstanding		Deposits	Drawings	Outstanding
	End of period									During period		End of period	During period			End of period
	145	146	147	148	149	150	151	152	153	154	155	156	157	158	159	160
1962	22 080	12 638	2 759	1 575	18 944	16 196	11 708	5 105	1 401	4 881	1 380	31 278	801	122	455	897
1963	24 410	13 531	2 839	1 797	22 459	19 348	12 668	5 719	1 639	5 805	1 741	35 342	546	209	241	866
1964	26 649	14 544	3 035	2 162	24 938	21 334	13 530	6 330	1 934	5 446	1 957	28 831	509	238	136	968
1965	27 731	15 776	3 400	2 551	28 348	24 008	14 719	6 958	2 317	4 645	1 593	41 883	865	318	147	1 139
1966	30 303	17 764	3 618	2 921	30 719	25 835	16 246	7 736	2 661	6 607	1 638	46 874	857	304	167	1 276
1967	35 017	19 976	4 087	3 350	34 849	29 019	18 057	8 307	2 963	9 438	2 096	54 216	1 335	289	576	989
1968	41 235	22 136	4 405	3 733	40 758	34 000	20 639	8 733	3 366	11 242	2 381	63 077	743	423	529	882
1969	41 050	24 051	4 765	4 263	41 438	34 171	22 693	9 264	3 728	12 599	2 721	73 119	2 111	442	252	1 073
Quarterly																
1966 1	28 205	16 929	2 949	2 629	29 196	25 441	15 102	7 185	2 424	605	95	42 393	199	180	52	1 267
2	28 409	16 964	3 726	2 694	30 001	26 029	15 376	7 440	2 479	617	1 333	41 677	195	97	44	1 320
3	28 217	17 486	3 395	2 772	30 259	26 243	15 743	7 387	2 584	2 929	71	44 536	183	2	28	1 294
4	30 303	17 764	3 618	2 921	30 719	25 835	16 246	7 736	2 661	2 456	139	46 874	279	25	43	1 276
1967 1	31 083	19 057	3 515	2 981	30 810	26 332	16 556	7 760	2 772	2 700	515	49 059	250	144	23	1 398
2	31 436	19 200	4 024	3 014	32 253	27 198	16 884	8 054	2 807	1 834	909	49 983	173	81	113	1 366
3	32 714	19 661	3 531	3 132	33 527	38 366	17 436	8 055	2 893	2 421	463	51 932	173	19	283	1 101
4	35 017	19 976	4 087	3 350	34 849	29 019	18 057	8 307	2 963	2 483	199	54 216	742	45	157	989
1968 1	36 196	21 527	3 661	3 448	30 810	26 332	18 835	8 230	3 089	3 503	472	57 247	148	192	130	1 051
2	36 936	21 607	4 201	3 499	32 253	27 198	19 335	8 473	3 176	2 418	1 558	58 107	226	167	158	1 060
3	38 741	22 020	3 807	3 578	33 527	28 366	19 932	8 465	3 267	2 312	160	60 259	124	9	134	934
4	41 235	22 136	4 405	3 733	40 758	34 000	20 639	8 733	3 366	3 009	191	63 077	247	55	107	882
1969 1[1]	41 538	23 548	3 864	3 873	40 710	34 316	21 223	8 828	3 491	3 373	1 359	65 092	265	211	83	1 011
2	40 601	23 372	4 176	3 930	42 977	36 612	21 748	9 022	3 610	2 396	319	67 168	171	186	97	1 099
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4	41 050	24 051	4 765	4 263	41 438	34 171	22 693	9 264	3 728	3 402	830	73 119	1 403	45	38	1 073

1 See note 4 on preceding page.

Source: Monthly Digest of Swedish Statistics, Monthly Banking Statistics and Press Reports from the Central Bank of Sweden.

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